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ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

FINLAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1973

BASIC STATISTICS OF FINLAND

THE LAND

Area (1 000 sq. km)	337
of which:	
Cultivated land	23
Forests	191
Lakes	32

Population in major cities (1.1.1972):	
Helsinki	520 000
Tampere	165 000
Turku	158 300
Urban population (per cent of total)	54

THE PEOPLE

Total population (end of 1972)	4 634 000
Per sq. km of land area	15.2
Average (1968-1972 per thous.):	
Live births	14.1
Deaths	9.7
Net natural increase	4.4
Net increase of population	–0.2

Man-power by industry in 1972 (per cent of total):	
Agriculture and forestry	19
Industry and constructions	35
Commerce	15
Transport and communications	7
Services	24

PARLIAMENT AND GOVERNMENT

Composition of Parliament	
No. of seats, elections 1972:	
Social-Democratic Party	55
National Coalition Party	34
Centre Party	35
Democratic League	37
Finnish People's Unification Party	13
Swedish People's Party	10
Liberal Party	7
Christian League	4
Finnish Farmers Party	5
Total	200

Government: no. of ministers from:	
Center Party	5
Social Democrats	7
Swedish Party	2
Liberal Party	1
Independents	1

Previous general election: January 1972
Next general election: March 1974

PRODUCTION

Gross Domestic Product 1972 (Mk. million)	53 436
GDP per head, US dollars, 1972	2 819
Gross fixed asset formation 1972 (Mk. million)	14 403

Gross Domestic Product by industries in 1972 (per cent):	
Agriculture and forestry	12
Industry and construction	43
Commerce	10
Transport and communications	7
Services	27

THE PUBLIC SECTOR

Public consumption 1972, per cent of GDP	16.9
Gross fixed capital formation 1972, per cent of GDP:	
General government	4.5
Public enterprise	1.7
Public corporations	2.3

General government revenue and expenditure, 1972 (Mk. million):	
Current revenue	19 777
Current expenditure	15 245
of which:	
Consumption	9 012
Transfers	4 535
Subsidies	1 648

FOREIGN TRADE

Exports of goods and services, per cent of GDP 1972	28.4
Main exports in 1972 (per cent of total merchandise exports):	
Agricultural products	5.2
Round and hewn timber	0.5
Wood products	15.1
Pulp and paper	35.2
Metal products, etc.	26.9
Other goods	17.1

Imports of goods and services, per cent of GDP 1972	28.3
Main imports in 1972 (per cent of total merchandise imports):	
Raw materials, etc.	40.0
Fuels and lubricants	12.4
Investment goods	23.7
Consumer goods	23.9

THE CURRENCY

Monetary unit: Markka

Currency units per US $: 3.90

NOTE An international comparison of certain basic statistics is given in an annex table.

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FINLAND

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The annual review of Finland by the
OECD Economic and Development Review Committee
took place on 28th February, 1973.

The present Survey has been updated subsequently.

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INTRODUCTION

The generally recognised failure of conventional fiscal and monetary measures to cope adequately with the problem of rising prices has led to widespread efforts to develop other policy instruments. A number of OECD Member countries have responded with some form of prices and incomes policy. In Finland a system of national income bargaining, complemented by price control, has been in operation since March 1968. Nevertheless, the past two years have seen a clear deterioration in price stability, as indeed has been the case in most other OECD countries. Inflation has re-emerged rather abruptly at the same time as the rate of real growth has slackened perceptibly and unemployment risen. In the process the operation of incomes policies has run into growing difficulties. Nevertheless, prospects for a restoration of more stable conditions during the course of the current year would not appear unfavourable. There are, however two major uncertainties; the free-trade treaty negotiated with the EEC has not yet been ratified and negotiations on the form of incomes policy to be adopted after March 1973 are still underway.

Part I of this Survey comments briefly on the domestic slowdown and the uncertain external situation during the past two years. Part II examines the longer-term pattern of development of prices as a background to assessing Finland's experience of comprehensive prices and incomes policies which have now been in force over one complete business cycle. Part III reviews present trends and prospects for returning to conditions of better overall balance. Some lessons from past experience and conclusions on prospects for policies are drawn Part IV.

I RECENT DEVELOPMENTS

The 1971/72 Slowdown

The rate of growth of GDP more than doubled in 1972 compared with the preceding year but this reflected a catching-up from the effects of the widespread strikes in early 1971. Taking the two years together, the 4 per cent average increase of output was clearly below the 5½ per cent trend rate recorded in the 1960s. Nevertheless, compared with earlier cycles, the downturn was relatively mild.

The setback in economic activity was initiated by sluggish export demand and prolonged by the subsequent weakening of private domestic demand. This affected virtually all sectors of the economy except certain service industries. There has been a pronounced hesitation on the part of the business sector to raise investment beyond the very high levels reached during the 1969/70 boom which saw volume increases in private fixed capital formation

Table 1 **Gross Domestic Product by Industrial Origin**

	Weight 1972	Percentage change (volume)			
		1969	1970	1971	1972[1]
Agriculture, hunting and fishing	6.7	–0.6	–1.5	0	–2½
Forestry	5.7	10.1	8.8	–4.8	–9
Industry	33.5	13.3	11.7	2.6	7½
Building	6.8	12.6	14.2	–1.7	5½
Land and waterway construction	3.0	–3.2	–5.6	–1.7	7
Transport and communication	7.1	8.6	7.1	1.3	6
Commerce, banking and insurance	12.7	10.8	7.7	5.0	7½
Other services	24.5	5.2	5.0	4.8	5
GDP at factor cost	100.0	8.7	7.7	2.2	5
GDP at market prices		10.4	8.3	2.3	5
GDP at factor cost per capita		8.8	8.1	2.2	5

1 Preliminary.
Source: Finnish submission to OECD.

Table 2 **National Product and Expenditure**

	1972 Mk. mill	Percentage change (volume)			
		1969	1970	1971	1972[1]
Consumption	37 025	8.8	6.4	3.3	5½
Private	28 014	10.1	6.7	3.0	5
Public	9 012	4.1	5.6	4.5	5½
Gross Fixed Asset Formation	14 403	11.7	12.9	2.7	3
Private	11 846	15.5	18.5	2.9	1½
Public	2 557	–0.5	–8.3	1.7	9½
Stockbuilding[2]	1 998	2.2	3.4	–0.5	–2
GROSS DOMESTIC EXPENDITURE	53 426	11.5	11.1	2.5	2
Exports of goods and services	15 150	17.4	7.7	–1.1	15
Imports of goods and services	15 140	22.7	19.0	–0.4	4
GROSS DOMESTIC PRODUCT	53 436	10.4	8.3	2.3	5

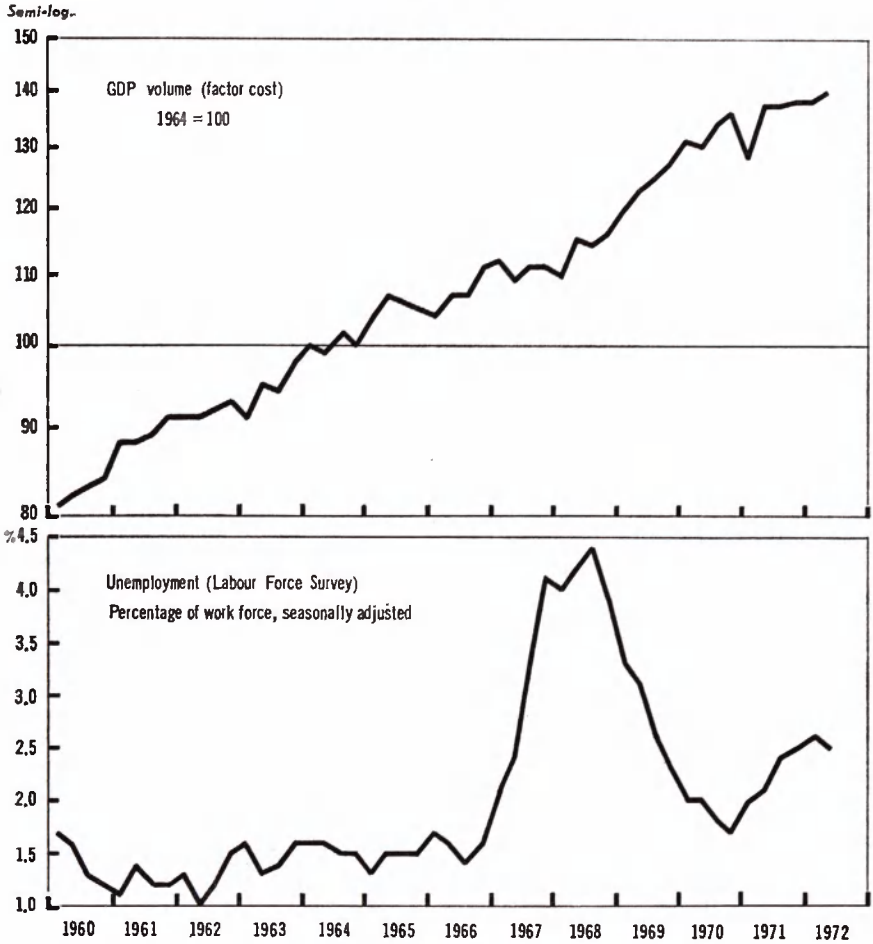
1 Preliminary.
2 Change in stockbuilding (including statistical error) as per cent of previous year's GDP.
Source: Finnish submission to OECD.

of 17 per cent per annum. In this context it should be noted that the delay in ratification of the free trade agreement with the EEC might have led to the postponement of a number of investment projects.

Influenced by a strong revival of exports in 1972 and an expansionary shift in policies, a new business upswing seems to have started towards the end of the year. Although the recovery will gather momentum in the course of

this year (see Part II) there will, as in previous cycles, be a lag before any significant improvement can be expected in the labour market. Furthermore, structural and regional imbalances will remain a source of major concern for the authorities. However, a more favourable aspect of the labour market has been the absence of large-scale migration to Sweden. In fact during 1972 there was a net remigration to Finland of some 5 000 people.

Diagram 1 **Output and Employment**



Source: Economic Indicators for Finland; Labour Reports.

Although the increase in unemployment rates has not been nearly as pronounced as during the previous recession (1966-1968), there has been a clear deterioration in the employment situation (see Diagram 1). In general unemployment rates in the Northern parts of the country, which have averaged

about 5 per cent, have been some 3-3½ times those in the South. At the same time, during the course of last year the shortage of skilled labour in Southern Finland became even more pronounced as the number of vacancies per registered unemployed rose from an annual average of 1.3 to 1.8[1]. The relative pressure of demand for labour (as measured by the ratio of unfilled vacancies to unemployed) in the service industries rose but that for industrial workers weakened somewhat, despite higher unfilled vacancies. The employment situation has remained weakest in agriculture and forestry despite a further large-scale shake-out of labour from these sectors equivalent to some 2 per cent of the total labour force in 1972.

From the latter part of 1971 economic policy was gradually shifted towards an expansive tack[2]. A range of fiscal, monetary and debt management measures has been resorted to, with emphasis on selective measures. Ostensibly, and indeed justifiably, the rationale of this approach can be traced to the importance of structural imbalances (particularly those in the labour market) and to concern with price and external stability (discussed further below).

The expansion of central government budget expenditure (excluding financial investment) accelerated from 13 per cent in 1971 to 19 per cent in 1972, but as the rate of growth of receipts also accelerated (from 14 to 16 per cent) the income effective surplus remained virtually unchanged and exceeded that initially planned. Net financial investments—largely lending for residential construction—which had been substantially stepped up in 1971, were further raised in 1972 leaving an overall surplus before debt redemptions of 0.6 per cent of GDP as compared with one of 1.0 per cent in 1971.

Budget expenditure on specific measures relating to the employment situation rose by one-half in nominal terms in 1971 and almost doubled in 1972. The bulk of these appropriations was absorbed by public works programmes which by the final quarter of last year absorbed some 2 per cent of the labour force. To promote occupational mobility the Government has been expanding retraining facilities; last year an estimated 16 thousand persons (0.7 per cent of the labour force) attended such courses[3]. Geographical mobility of the labour force has been facilitated by payment of relocation allowances (about 13½ thousand recipients last year) a joint programme with local governments to construct temporary dwellings, and the channelling of State housing loans specifically to areas with a shortage of skilled labour. Finally, to assist those actually unemployed the State benefits have also been increased, the time limit during which they are payable has been abolished, and the categories of eligible recipients extended[4].

It is not easy to assess accurately the overall impact of central government transactions on the rest of the economy. Treating as discretionary all

1 Even though it is estimated that in general probably only one in four vacancies are registered.

2 For details of policy measures see Annex (Calendar of Main Economic Events).

3 As these courses last about half a year, on average, about 0.3 per cent of the labour force was undergoing retraining throughout the year.

4 State assistance is only payable to non-members of unemployment funds. Although membership of such funds has been expanding rapidly of late (up by 25 per cent in the last two years), about one-third of persons actually unemployed are still not eligible for any form of unemployment assistance.

increases in demand-effective expenditure as well as that part of tax receipts which represents an increase in the taxation ratio, the budget impact was clearly more stimulatory last year than in 1971 (Table 3): all major expenditure items rose much faster than nominal GDP, while the increase in the " burden of taxation " was much less pronounced than in the previous year. Furthermore, the overall net impact on private sector liquidity was markedly less restrictive in 1972 than it had been in the two previous years. Indeed, the net expansionary effect of financial transactions almost compensated for the withdrawal of liquidity due to the revenue surplus. Domestic borrowing was substantially reduced and actually fell below the increased rate of redemption, while financial investments were further stepped up. At the same time the business sector was requested to withdraw before specified dates some

Table 3 Central Government Transactions

	Relative weight 1971	1969	1970	1971	1972
A Income effective transactions[1]					
		Percentage change			
Demand effective expenditure	100.0	6.8	8.9	13.5	16.6
of which: consumption	29.6	6.3	11.1	13.6	14.6
investment[2], net	11.3	–5.5	–4.9	10.0	22.6
transfers	59.1	11.9	12.2	14.1	16.6
Taxation receipts	100.0	10.3	13.5	14.9	13.7
of which: corporate direct taxes	4.4	–2.1	0.5	2.4	11.6
personal direct taxes	37.6	12.6	23.1	19.0	17.6
indirect taxes	54.6	10.6	9.1	13.1	11.7
		Per cent			
"Discretionary" budget impulse[3]		+2.3	+1.5	+1.5	+3.0
of which: attributable to tax rate changes		+1.1	–0.1	–0.8	—
tax progression[4]		–0.3	–0.3	–0.5	–0.5
B Impact on private domestic liquidity[5]					
Revenue surplus		–1.5	–2.6	–2.9	–2.6
Domestic borrowing		–1.8	–1.5	–1.1	–0.7
Domestic debt redemptions		1.5	1.2	1.1	1.1
Financial investments, net		1.7	1.4	1.9	2.0
Total liquidity impact		–0.2	–1.5	–1.0	–0.2

1 Including social security and extra-budgetary funds.
2 Excluding government enterprises.
3 Demand effective expenditure less the part of taxation receipts which constitutes an increase of the tax ratio, expressed as a percentage of GDP at market prices.
4 Including effect of shifts in relative share of various taxes due to changes in pattern of consumption.
5 Excluding social security funds. Expressed as percentage of GDP at market prices, (—) sign indicates a reduction in liquidity.

Source: Finnish submission to OECD.

252 million Markka from counter-cyclical and investment funds during 1972, or the equivalent of some 2 per cent of gross fixed private investment.

The cautious shift towards expansionary policies in 1971-72 was supported by the monetary authorities. A marked improvement in credit availability followed from the extensive inflow of long-term capital and release of counter-cyclical funds. Moreover, in the Autumn of 1971 the commercial banks' borrowing quotas with the Central Bank were raised by 36 per cent. The general level of interest rates was reduced by ¾ percentage point from the beginning of 1972. The banks also were directed to favour labour-intensive investment and earlier measures taken to restrict private consumption were rescinded in mid-1972.

Table 4 **Money and Liquidity Supply**
Mk million

	1969	1970	1971	1972
CENTRAL BANK				
Claims on:				
1 Foreign sector (net)	–48	493	646	451
2 Central Government (net)	72	87	129	44
3 Other banks	13	230	–1	–103
4 Other private sector	84	–179	–16	–40
5 *less* Misc. liabilities (net)	4	580	593	–97
6 Total (= Reserve Money Creation)	117	51	165	255
OTHER BANKING SECTOR[1]				
Claims on:				
7 Foreign sector	253	–154	151	356
8 Central Government	–135	–200	–383	–400
9 Private sector	2 008	2 867	2 941	3 274
10 *less* Misc. liabilities (net)	289	289	160	–316
11 Total	1 837	2 224	2 549	3 546
12 TOTAL* (6 + 11)	1 954	2 275	2 714	3 801
* Equals change in money + quasi-money supply:				
13 *of which:* Money[2]	485	319	580	949
Quasi money[3]	1 469	1 968	2 118	2 866

1 The commercial banks, co-operative banks, savings banks and Post Office Bank.
2 Money equals Reserve Money plus demand deposits less currency held by other banking sector and bankers' deposits (in Central Bank).
3 Quasi money equals time and savings deposits.
Source: Bank of Finland.

Improved External Balance

Both the timing and choice of policy measures in 1971 were affected by concern with the balance of payments. Following a marked improvement in the first two post-devaluation years, the current account swung back from a small surplus in 1969 to a very large deficit equivalent to some 3 per cent of GDP in 1971. The risk of excessive cumulative deficits and destabilizing leads and lags prompted the authorities to take a series of restrictive measures during the first half of 1971 which were primarily aimed at restraining

imports. The most important of these were the broader application of cash payment for imports of consumer durables, the levying of a 15 per cent supplementary sales tax on consumer durables, ceilings on the expansion of consumer credit and directives to banks to favour labour intensive investment in their lending operations[1]. Subsequently, the general reduction of interest rates in January 1972 was not extended to import and personal credits. The authorities' concern with the balance of payments was also reflected in the fact that during the second half of 1971 the Markka was allowed to depreciate on average against other currencies[2].

Table 5 **Balance of Payments**
$ million

	1967	1968	1969	1970	1971	1972[1]
Exports fob	1 528	1 626	1 975	2 294	2 344	2 931
Imports cif	1 711	1 602	2 030	2 643	2 801	3 206
TRADE BALANCE	–183	24	–55	–349	–457	–275
Services, net	40	41	59	114	118	129
Transportation	122	115	138	171	157	171
Travel	–26	–2	1	34	59	78
Investment income	–61	–66	–77	–95	–114	–142
Other services	5	–6	–3	4	16	22
Transfers, net	–1	–1	17	–4	0	–2
CURRENT BALANCE	–144	64	21	–234	–339	–148
Long-term borrowing	267	296	251	352	650	735
Amortization of long-term loans	–119	–206	–172	–165	–204	–247
Long-term export credits (net)	–10	–40	–43	–60	–49	–94
Other long-term capital items (net)	4	–19	–12	–48	–20	–34
Short-term capital[2]	–30	47	–8	269	134	–89
SDR allocations	—	—	—	21	20	21
NON-MONETARY TRANSACTIONS	–32	142	37	130	192	144
Change in reserves of Central Bank[3]	–25	158	–27	134	132	66
Other	–7	–16	64	–4	60	78

1 Preliminary.
2 Including errors and omissions.
3 Including IMF credit tranches.
Sources: Bank of Finland, Monthly Bulletin; Finnish submission to OECD.

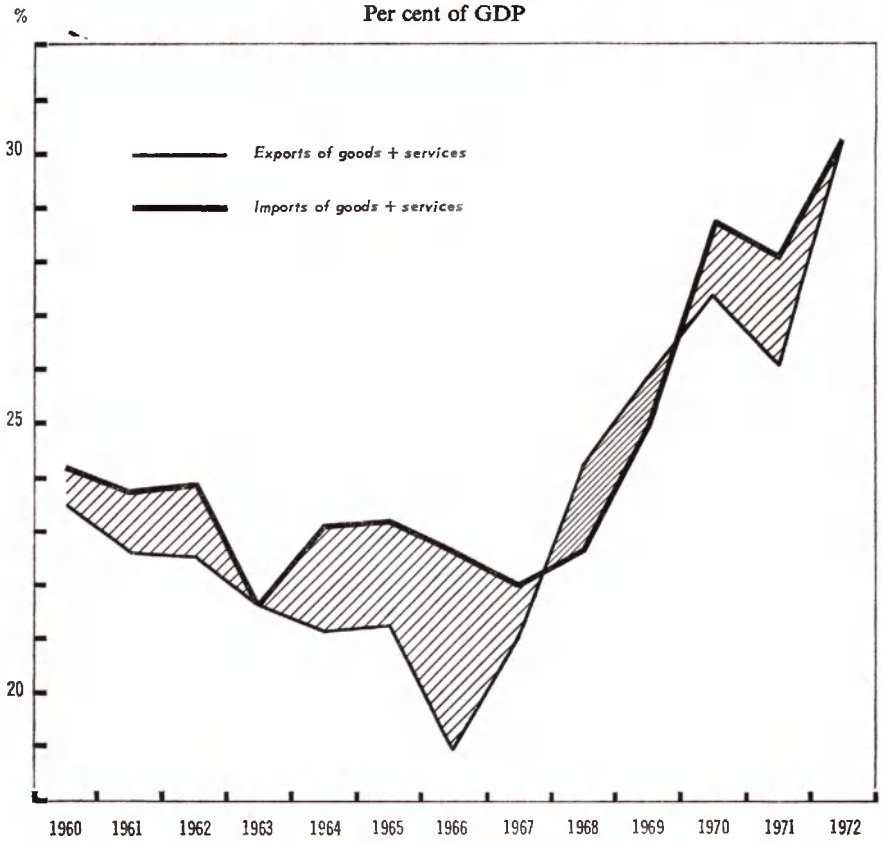
Although, understandably enough, the authorities felt obliged to take this series of measures, the deterioration in the current account in 1971 can be largely ascribed to cyclical and special factors. The widespread strikes early in 1971 reduced the exports of the metal and engineering industries and it was apparently not possible to recuperate these losses entirely during the remainder of the year. Furthermore, " bilateral " trade, which for Finland is more important than for any other OECD Member country, showed a deficit on trading account in 1971 equivalent to 1.5 per cent of GDP. This

1 About 60 per cent of consumer durables and investment goods are imported.
2 An effective devaluation resulted from the floating of certain currencies prior to the Smithsonian agreement. In the December realignment of exchange rates the Markka revalued by 2.44 per cent against the US $, entailing an effective devaluation of 4½-5 per cent in terms of Finland's main trading currencies on average.

trade is regulated by 5-year agreements which typically produce deficits for Finland during the initial period but balance over the 5 years (1971 was the first year of the current trade agreement with the Soviet Union). Finally, there was an exceptional slack in foreign markets accompanied by a marked deterioration in the terms of trade.

In 1972 there was a considerable improvement of the current balance. The trade deficit was reduced by 40 per cent and the surplus on invisibles continued to rise, leaving an overall current account deficit of little more than 1 per cent of GDP. The question naturally arises to what extent the reduced 1972 deficit corresponds to the underlying current external position. This is not easy to answer. There was a strong recovery in markets abroad which was, however, not sufficient to make good the slow growth in 1971. In fact, during the two years, OECD exports in volume terms weighted by the country pattern of Finland's exports grew by an annual average of some 5 per cent compared with the annual increase of almost

Diagram 2 **Balance of Payments**
Per cent of GDP



Source: OECD, National Accounts; Ministry of Finance, National Budget for 1973.

9 per cent recorded during the 1960s. On the other hand, the expansion of Finnish import demand was, of course, affected by the relatively low level of domestic activity but the margin of slack does not seem to have been higher in Finland than on average abroad, and the imposition of the temporary sales tax on consumer durables and some other selective measures certainly led to some postponement of imports from 1971 to 1972. In addition, there was a further deterioration in the terms of trade between 1971 and 1972 reflecting i.a. the de facto devaluation of the Markka and the continued strong rise in import prices. As compensatory volume effects tend to be delayed and part of the terms-of-trade deterioration may be reversed after expiration of current $- or £-denominated export contracts, it could be argued that at least some of the extra cost to the current balance has been of a temporary nature. On balance, therefore, the 1972 current account may not have been too far off from the underlying position.

During the period of high current deficit there does not seem to have been any financing problem. Conditions of availability and cost of funds in international markets remained favourable throughout, and in line with the general countercyclical policy efforts the Bank of Finland was relatively liberal in granting permission to raise funds abroad. Long-term capital inflows, the bulk of which took the form of financial loans and bond issues, more than covered the current account deficit, resulting in a basic surplus averaging around 1 per cent of GDP over the two years. In 1971 there was also a net inflow of short-term funds, but this gave way to a net outflow in 1972. Overall, these capital flows led to a continued net increase in foreign exchange reserves which at the end of 1972 stood at the equivalent of about 3 months of merchandise imports.

Stronger Inflationary Pressures

Strong inflationary pressures reappeared in 1971 and continued virtually unabated last year. During the two-year period the annual increase of the GDP deflator more than doubled to average 6.9 per cent, compared with 3.3 per cent during the preceding two-year period. As can be seen from Table 6 all components of GDP contributed to the acceleration, notably private consumption. The strongest price increase was recorded for investment, reflecting domestic cost pressures as well as higher import prices.

The rise in unit labour costs more than doubled during these two years compared with 1969 and 1970 (Table 10). Changes in net indirect taxes also added to inflationary pressures after having exerted a net disinflationary effect during the two preceding years. Foreign trade prices (covering both goods and services) have also exerted considerable upward pressure on the total expenditure deflator during each of the past three years.

The above presentation of facts and figures clearly illustrates the acceleration of cost pressures during the last two years but does not explain why wages failed to respond to the business slowdown and even accelerated. Part II below considers the recent inflationary episode in its longer-term perspective, discusses the nature of the inflation problem in Finland and attemps an evaluation of the effectiveness of the "national price and income bargain" approach which has been reflected in the four consecutive Stabilization Agreements.

Table 6 **Main Expenditure Deflators**
Percentage change

	1969	1970	1971	1972[1]
Consumption	2.6	2.9	6.2	7.5
Private	2.1	2.3	5.2	7.2
Public	4.8	5.4	9.2	8.4
Investment	5.2	8.8	10.7	9.4
Private	5.2	9.1	10.7	9.5
Public	5.5	7.4	10.3	8.9
Domestic Expenditure Deflator	2.9	2.5	8.4	7.6
Exports	3.5	10.1	5.2	5.7
Total Expenditure Deflator	3.0	4.1	7.7	7.2
Imports	2.5	8.1	7.2	8.6
GDP (at market prices)	3.4	3.2	6.8	6.9

1 Preliminary.
Sources: OECD National Accounts; Finnish Submission to OECD.

Table 7 **Consumer Price Index**
Percentage increase from previous year

	Weight 1967	1969	1970	1971	1972	1972 (quarters)			
						1	2	3	4
Food	28.3	2.9	0.9	4.4	9.3	6.4	9.6	9.8	11.2
Rent	16.1	3.8	3.6	7.9	4.8	8.1	5.8	2.7	2.8
Transportation	13.0	0	2.7	10.7	8.0	9.9	8.9	7.7	5.8
Other	42.6	2.3	3.6	6.1	6.3	5.4	7.0	6.3	6.4
Total	100	2.4	2.7	6.5	7.1	6.7	7.8	6.9	7.1

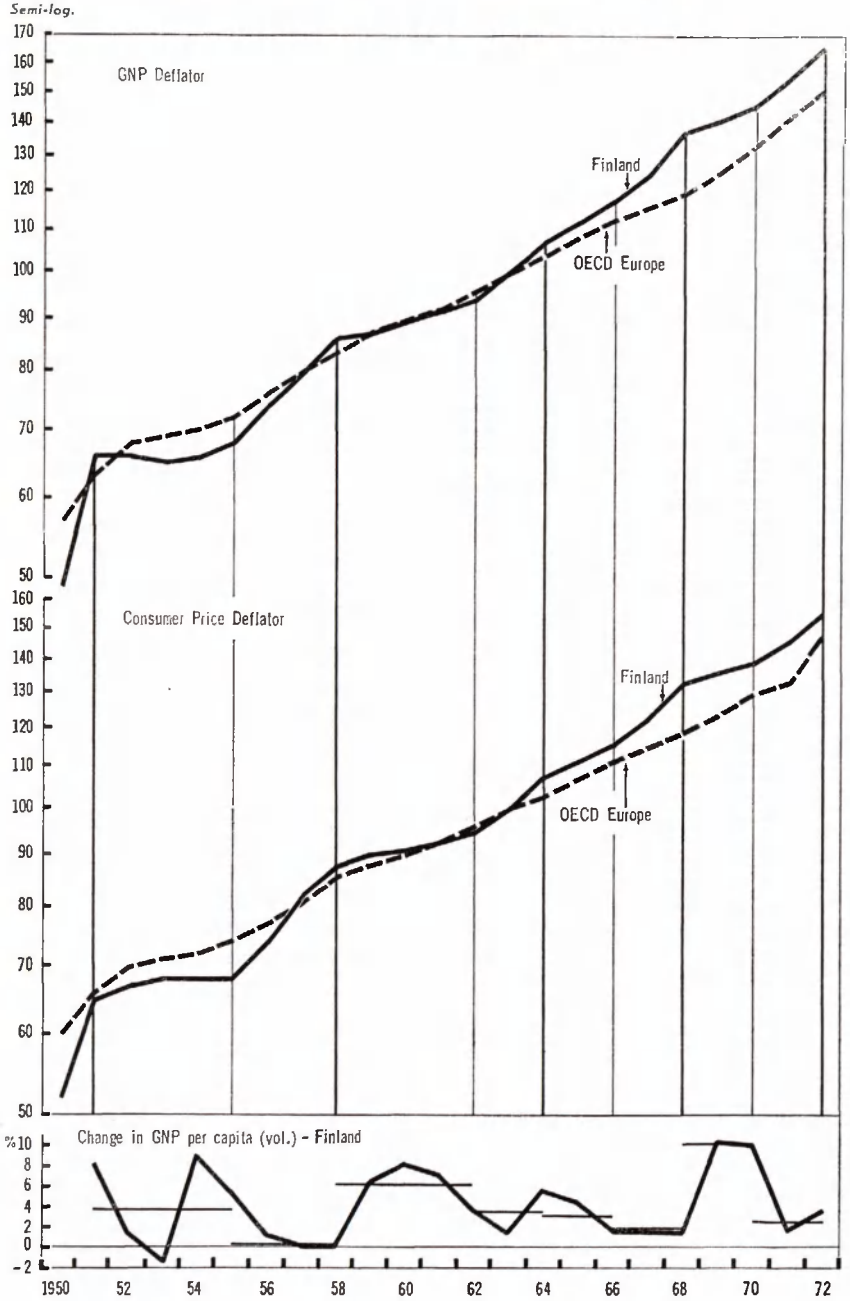
Source: Bulletin of Statistics, Central Statistical Office.

II INFLATION, INCOME FORMATION AND INCOMES POLICY

The Finnish long-term price record between 1952-1972 is summarised in Diagram 3 and Table 8. Measured by either the GNP or consumer price deflator a relatively high degree of variability in the rate of inflation is indicated. But at the same time a regular and marked cyclical pattern can be discerned. Two further aspects emerge on closer examination. First, the length of the cycle has shown a tendency to shorten—this largely reflecting a decline in the period of price slowdown. Thus, of the 4 cycles that can be identified—1952-1958, 1959-1964, 1965-1968 and 1969-1972[1]—the first two averaged some

1 Unless otherwise stated, all references to " cycles " in the present Part are to these prices cycles in Finland. It has been assumed that 1972 represented a cyclical peak.

Diagram 3 **Growth and Comparative Inflation, 1950-1972**



Source: OECD National Accounts.

Table 8 **Comparative Inflation in Selected Countries**
Average annual percentage rate of increase

	Phase of Finnish Price Cycle												
	Complete Cycle				Downswing				Upswing				
	1952 1958	1959 1964	1965 1968	1969 1972[1]	1952 1955	1959 1962	1965 1966	1969 1970	1956 1958	1963 1964	1967 1968	1971	1972[1]
	GDP Deflator[3]												
Finland	3.9	3.9	6.4	4.9	0.8	2.3	4.7	3.0	8.1	7.0	8.2	6.8	6.5
Norway	3.2	3.1	4.2	6.8	2.7	2.7	4.6	7.6	3.7	4.0	3.7	6.9	5.0
Sweden	3.3	3.5	4.8	6.0	2.5	3.4	6.1	4.6	4.3	3.8	3.4	7.3	7.5
Denmark	2.8	4.5	6.3	6.8	3.3	4.2	7.2	6.2	2.2	5.3	5.4	6.3	8.5
EEC[2]	4.0	3.8	3.0	6.0	3.0	3.3	3.4	5.6	5.3	4.7	2.6	6.7	6.1
OECD Europe	4.2	3.6	3.6	6.8	3.4	3.2	4.1	7.0	5.3	4.3	3.1	7.2	6.0
	Private Consumption Deflator[3]												
Finland	4.5	3.6	5.5	4.3	1.2	2.0	3.5	2.4	9.0	6.8	7.5	5.2	7.0
Norway	3.3	3.0	3.8	7.2	3.4	2.5	3.7	6.8	3.2	4.0	3.8	6.6	7.5
Sweden	3.6	2.9	4.4	5.5	2.9	2.8	5.8	4.5	4.6	3.2	3.0	7.6	5.5
Denmark	2.1	4.0	6.2	5.4	2.1	3.5	6.1	4.9	2.1	4.9	6.2	5.0	6.6
EEC[2]	3.4	3.2	3.1	..	2.5	2.8	3.4	4.2	4.7	4.0	2.8	7.5	..
OECD Europe	3.9	3.1	3.6	..	2.9	2.8	4.0	4.5	5.2	3.8	3.1	..	..

1 Preliminary.
2 Membership prior to 1973 enlargement.
3 National accounts implicit price deflators.
Source: OECD National Accounts and Secretariat Estimates.

6½ years in length, with relatively long periods of virtual price stability succeeded by shorter periods of substantial inflation. The last two cycles have spanned some 4 years each. Second, the *average* annual rate of price increase during the first two cycles was remarkably stable and equalled that of OECD Europe. The situation changed dramatically in the succeeding cycle when Finnish prices rose much faster than previously whilst inflation abroad did not, on average, accelerate[1]. However, in 1969-1972 Finnish relative and, indeed, absolute performance improved markedly, with the extra margin of inflation which was typical in earlier cyclical upswings disappearing.

Some Aspects of the Inflationary Process in Finland

The inflationary bursts in 1956-58 and 1967-68 coincided with such "exogenous" shocks as the general strike in 1956 and the two substantial devaluations of the Markka in 1957 and 1967. The introduction of a new turnover tax system in 1964 and the exceptionally strong rise in foreign trade prices in 1970-72 can also be regarded as exogenous factors which have contributed to the acceleration of inflation. Finnish price developments have also been affected by a number of institutional factors such as the existence between 1958 and 1968 of two rival trade union central organisations and the widespread use of indexation prior to the introduction of the first comprehensive Stabilization Agreement in the spring of 1968. But the relative volatility of price movements in Finland with alternating periods of considerable price stability and price "explosions", also points to the presence of strong underlying forces of inflation which from time to time have had to be arrested through severe measures of restraint and direct intervention into the market mechanism. Intensive use was made of price subsidies in 1951-1954, and a system of wage and price controls was operated during the first half of the 1950s.

Finnish domestic business cycles typically tend to be export-led, with the domestic cycle reacting with a relatively short lag. This has complicated the problem of demand management: the balance of payments constraint on economic expansion during domestic boom periods has been muted, so that counter-cyclical measures have often been delayed. Conversely, during the export-led downturn, policy has been faced with the dilemma of a simultaneous deterioration in the external account and in levels of domestic activity. Priority has often been accorded the former. This has possibly reinforced the amplitude of business cycles and variations in the rate of productivity growth. In this context it is interesting to note that periods of price stability have tended to be associated with periods of rapid productivity growth (see Diagram 3). This reflects the fact that earnings have tended both to lag, and to fluctuate less than, productivity advances.

The transmission of cyclical impulses from abroad appears to be amplified by the relatively narrow base of the export industries. Despite the considerable degree of diversification achieved in the past decade, over one-half of the country's export receipts are still provided by the forest-based industries which tend to be subject to relatively pronounced fluctuations in market

1 It should be borne in mind that all comparisons are based on the Finnish cycles which of course may not be in phase with those in other countries.

conditions. Given the devaluations of the Markka in 1957 and 1967, import and export prices in domestic currency have risen on average faster than in any other country shown in Table 9. The fact that fluctuations in Finnish export volume tend to move in phase with prices has meant that Finland has experienced one of the highest rates of variability in export receipts in the OECD area.

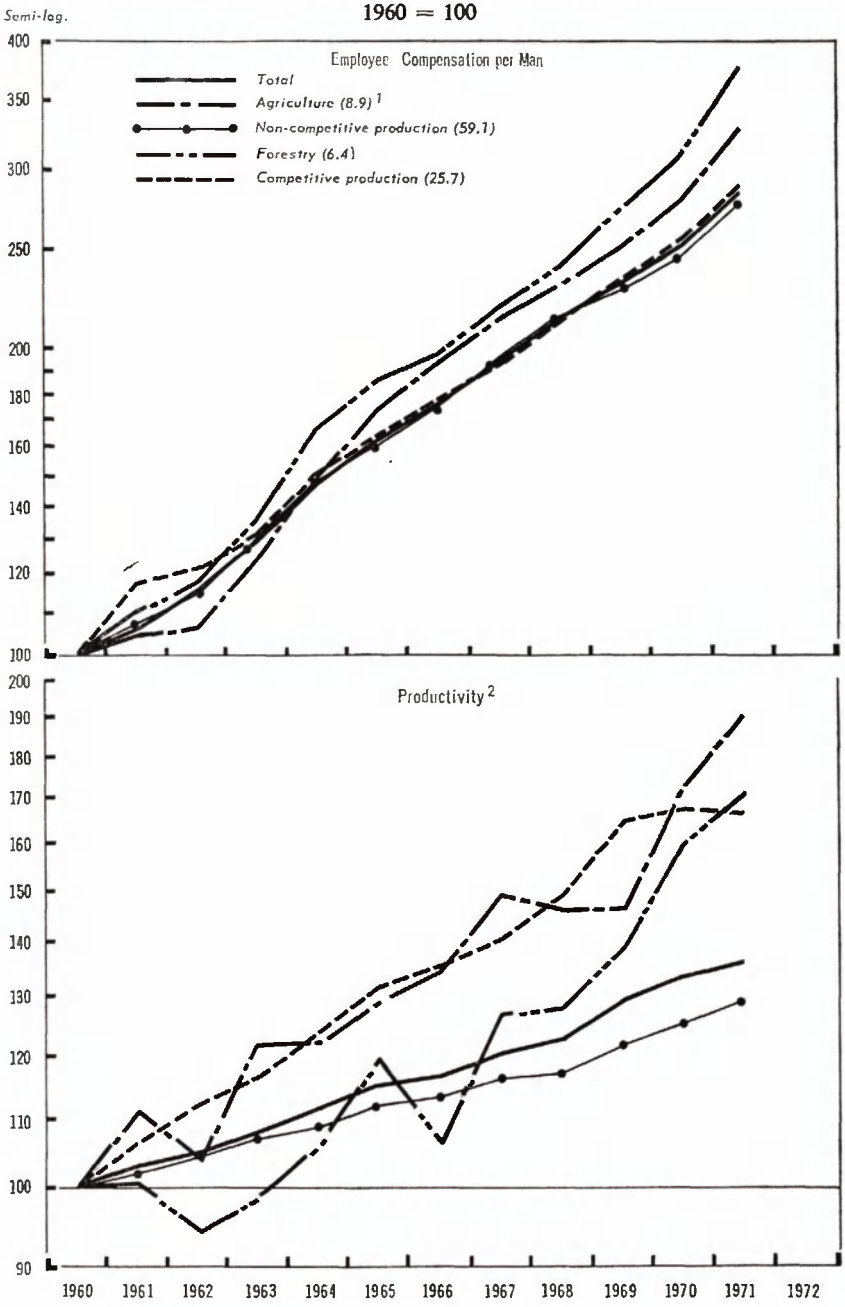
Table 9 Inflation in the Foreign Sector, 1950-1970

		Domestic Currency				US $[3]	
		Import Prices		Export Prices		Percent change per annum	
	Size of Foreign Sector[1]	Percent change per annum	Variability[2]	Percent change per annum	Variability[2]	Import Prices	Export Prices
Finland	23.3	4.7	2.0	6.4	2.9	0.4	1.0
Denmark	31.2	1.6	4.3	2.0	2.1	0.3	0.5
Norway	41.9	1.0	3.6	0.5	12.5	0.3	1.0
Sweden	24.1	2.8	4.2	3.6	3.6	1.1	0.9
USA	4.9	1.6	3.2	1.9	1.9	0.9	1.7
Germany	19.7	0.4	17.8	1.8	3.6	0.1	1.3
UK	21.9	2.7	3.0	2.7	1.9	0.5	1.5
France	14.7	3.2	1.9	3.1	1.3	–0.1	0.3
Japan	10.7[4]	–0.8	–4.7	0.7	3.8	0.7	–0.1
Canada	21.0	1.8	1.9	1.8	1.5	1.3	1.2
Italy	16.5	–0.6	–7.1	–0.7	–5.3	–0.1	–0.3
Netherlands	48.9	1.1	6.3	1.2	4.7	0.7	0.8
Belgium	37.7[5]	1.1	2.6	1.4	2.6	0.1	0.5
Switzerland	31.5	1.6	1.9	3.0	1.3	1.1	1.6
Austria	25.0	3.5	2.7	3.9	2.2	–0.9	0.2

1 Average of imports and exports of goods and services as per cent of GNP.
2 Standard deviation/mean.
3 1954-1970.
4 1952-1970.
5 1953-1970.
Sources: OECD National Accounts; IMF Financial Statistics; Secretariat calculations.

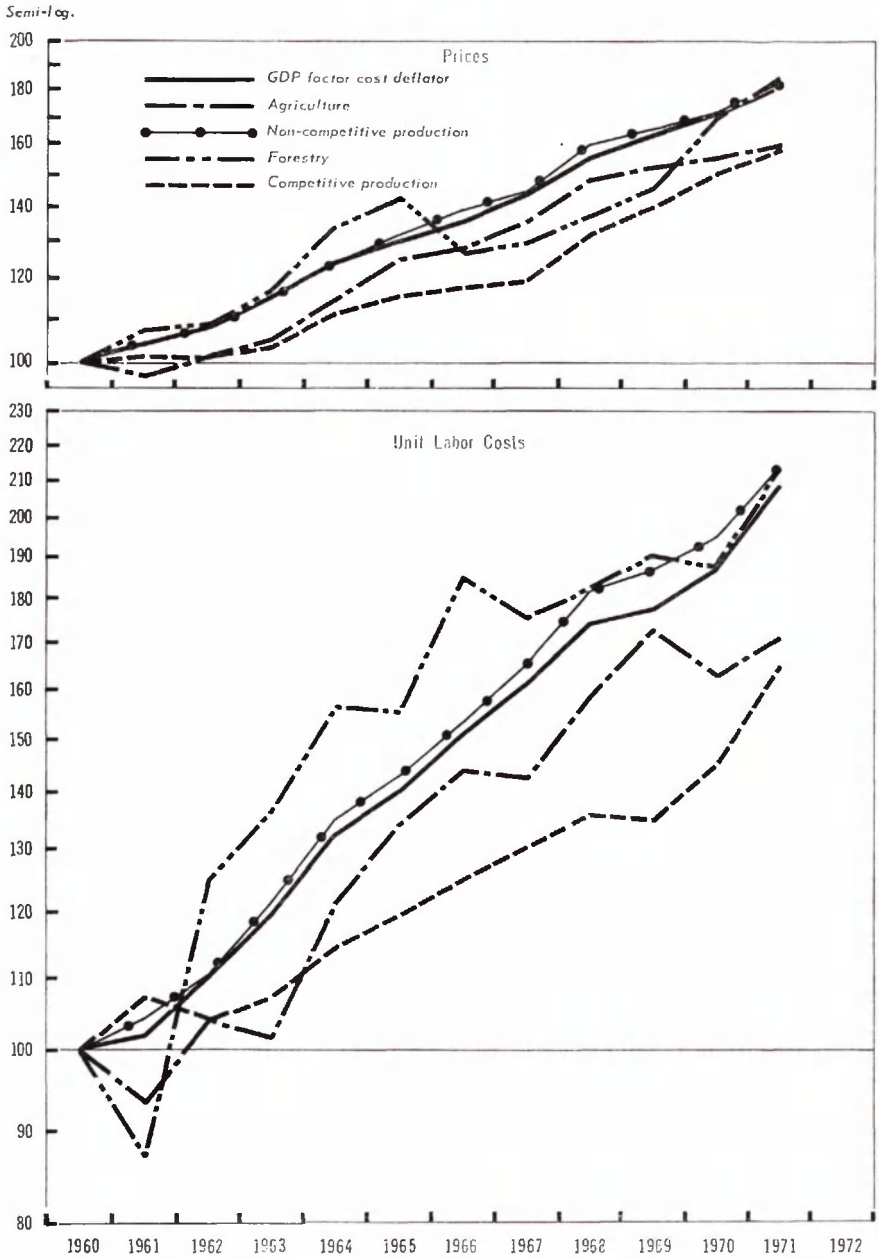
Up to the 1960s the Finnish economy was relatively "closed", with practically only the forest-based industries fully exposed to foreign competition. The EFTA period has seen a number of profound structural changes which have enabled Finland to achieve a relatively rapid per capita GNP growth (4.7 per cent annual average). Although exposure to world markets can be expected to increase competitive forces in the domestic economy, imbalances in levels of regional development and in the labour market have remained and may well have contributed to inflationary pressures. Even during periods of relatively high unemployment an acute shortage of skilled labour has often prevailed in some manufacturing branches. Similarly, the relatively narrow and weak base of the economies in the development regions has at times

Diagram 4 **Wages, Productivity and Prices by Sector**
1960 = 100



1 Weight in national income.
2 Output per paid labour input.

Diagram 4 **(contd.) Wages, Productivity and Prices by Sector**
1960 = 100



Source: Finnish Submission to OECD.

clearly inhibited the authorities from taking the general restrictive measures which seemed called for by developments in the more industrialised south. The need for industrial diversification and concomitant investment may also have made the authorities especially wary of the effect of restrictive demand management.

The problem of inflation is further complicated by the considerable productivity differentials between the exposed industries ("competitive production") and those not exposed to foreign competition[1]. Diagram 4 clearly illustrates the faster frowth of productivity in the competitive sectors of the economy[2]. The increase in employees' compensation has tended to be relatively even, implying large differential increases in unit labour costs and prices in the sheltered parts of the economy. As there is only little, if any, evidence that wage increases in the exposed sectors are restrained by the relatively low productivity growth elsewhere in the economy, these differentials will tend to accentuate the total increase in wages and the price level. Clearly this type of inflationary mechanism is present in all countries, but it is the exceptional extent of the structural diffrentials in Finland that should be emphasized.

Last year's Survey, in discussing the problem of emigration pointed to the marked correlation between movements in the demand for labour in Sweden and in emigration from Finland. The "demonstration effect" of higher real wage levels in Sweden has probably also been a factor of some importance in pushing up wage rates in Finland, at least in the more expansive sectors[3]. The mere fact that there was a marked acceleration in the outflow of Finnish labour to Sweden during the sixties which culminated in a total net loss of labour in terms of total employment of some 2½ per cent during 1969-1970 appears to have contributed to the widening demand/supply gap for labour in the Southern part of the country and in certain manufacturing branches.

Stabilization Agreements of 1968-1972 in Retrospect

As was noted above, the most recent price cycle entailed a considerable improvement, in both absolute and comparative terms, of Finnish price performance. The last two years of the cycle have, however, seen a re-emergence of strong inflationary pressure, which Table 8 shows to be approximately as strong as in most other OECD Member countries. Thus, the exceptionally good performance was largely confined to the first two years of the period. It may therefore be asked whether the stabilization agreements have introduced a new element into prices and incomes formation or whether their relative initial success can mainly be attributed to special circumstances.

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1 The competitive sector consists essentially of the manufacturing industry of which the wood/paper and metal and engineering are by far the most important. The sheltered sector covers agriculture, construction, public utilities and other services. Using these definitions nearly 70 per cent of value added during the past decade was not directly subject to foreign competition.

2 The problem of measuring productivity in the service sector means that caution should be used in interpreting these figures.

3 A recent study by the Finnish Ministry of Labour has indicated that the real disposable income of an unmarried industrial male worker is about 19 per cent higher in Sweden than in Finland.

The 1950s and 1960s saw a gradual evolution of incomes policy in Finland. As the associated institutional developments have been described in previous Surveys[1], only the essential changes will be recalled here. Three features in particular distinguished the Incomes Policy Agreements of the past four years:

(*i*) The automatic cost-of-living adjustment that had been a part of many earlier wage agreements, and virtually all other forms of indexation, were abolished;

(*ii*) The agreements covered not only wages but, because of price and rent control, income developments in general[2]. When the 1968 and 1969 agreements were concluded the Central Government undertook not to increase tax rates during the succeeding year;

(*iii*) The granting of common flat-rate rather than percentage wage increases and substantial non-wage benefits implied a narrowing of differentials between high and low paid employees[3].

The introduction of a system of central wage agreements and price control was closely interrelated: unions may not have agreed to slow down the rise in money wages without some guarantee on prices, and employers would not have supported the passage of the Special Powers Act to control prices without exercise of wage restraint. Price control has been operated through a Prices and Incomes Board on which industry, trade unions, employees and the Government are represented. Industries and commodities have been divided between those for which *ex ante* permission for price increases, is needed those requiring only *ex post* justification and those subject to no control. The latter largely consist of exposed industries where the forces of price competition are most important. Successive agreements have seen a shift away from *ex ante* to *ex post* control of prices.

The initial two years covered by Stabilization Agreements saw the average growth rate of negotiated wages fall to about 60 per cent of the rate experienced in the previous two years (including or excluding increases in employers' contributions to social security). Wagedrift accelerated but not as much as to offset the slowdown in the other wage cost components, and the rise in total compensation per employee remained in both years below the average for the 1960s. At the same time there was an exceptionally strong rise in productivity which helped to slow down the increase in unit labour costs.

The rapid rise in productivity in 1969 and 1970 was probably not unrelated to the successful operation and general acceptance of a comprehensive prices and incomes policy. Furthermore, the reduction of inflation went even beyond what could have been expected on the basis of past cyclical relationships between productivity advances and price behaviour. Econometric calculations suggest that the cost-of-living index would have grown much faster in the absence of stabilization measures. It is also relevant to note in this context that a high degree of price stability was regained in Finland at a

1 OECD, Economic Surveys of Finland, 1969-1972.
2 An agreement on agricultural prices was reached at about the same time.
3 There has been (limited) provision for percentage increases in the last two agreements.

Table 10 **National Income and Wage Costs**

	Mk. million		Percentage changes							
	1972	1971	1965	1966	1967	1968	1969	1970	1971	1972[1]
Wages and salaries	23 631	20 827	11.4	9.7	8.6	11.2	11.3	12.8	12.4	13.5
Employers' contributions to Social Security	4 381	3 801	13.1	10.6	17.5	12.8	15.6	16.3	21.9	15.3
Income of unincorporated enterprises	5 486	5 223	6.0	–2.4	2.0	12.9	11.4	9.1	5.8	5.0
Corporate profits[2]	3 392	3 038	1.6	4.1	–0.1	22.3	45.0	13.5	15.5	11.7
Interest and rent	4 692	4 288	10.1	9.5	9.8	10.9	6.1	7.2	12.8	9.4
NATIONAL INCOME	41 581	37 176	9.5	7.1	7.7	12.4	13.8	12.0	9.4	11.8
Contribution to rise in total employee compensation[3]:										
Average compensation			9.5	8.1	9.9	10.9	7.6	9.3	13.6	11.8
Negotiated wage rates			6.1	4.0	5.5	8.0	3.7	4.0	7.0	7.4
Wage drift			1.7	2.7	2.1	1.0	1.8	2.8	3.1	1.8
Social security			1.6	1.3	2.2	1.7	2.1	2.3	3.2	2.4
Employment			1.9	1.6	–0.2	0.5	4.0	3.7	0.1	1.7
TOTAL			11.6	9.8	9.7	11.5	11.9	13.3	13.7	13.7
Unit labour costs[4]			6.2	7.2	6.9	8.8	1.3	4.6	11.2	8.4

1 Preliminary.
2 Before direct taxes and including surplus of government enterprises.
3 The contributions of *Negotiated wage rates* and *Wage drift* have been estimated by allocating the difference between the respective contributions of *Social security* and *Average compensation* according to the ratios implied in Table 15 *Percentage Changes in the Index of Wage and Salary Earnings in 1966-1972 of* Economic Survey, 1972.
4 Change in labour income/change in volume GDP at market prices.

Source: Ministry of Finance; Secretariat calculations.

time when virtually all other countries were experiencing the worst inflation since the Korean boom. It seems therefore reasonable to argue that the initial Stabilization Agreements had a large measure of success, probably influenced by the fact that after the 1967 devaluation there was a widespread awareness of the need to improve conditions for more stable economic development.

However, the strong growth of foreign trade prices after 1970 led to pressure on the operation of prices and incomes policies. This occurred not only through the direct impact of import prices but through the effect of high profits in the export sector (even net of tax) on wage demands[1]. In these circumstances an effective system of price control became increasingly difficult to administer. The export-led growth had also entailed a considerable build-up of demand pressure in 1970. In addition, with the state of emergency removed, the fund of goodwill towards such a policy and willingness to co-operate declined.

During 1971 and 1972 the rate of negotiated wage increases, including employers' contributions to social security almost doubled compared with the first two agreements and wagedrift remained on average virtually unchanged. The second dominant factor in the more than doubling of the unit labour cost advance was the sharp fall in the growth rate of productivity. While the latter factor clearly was of a cyclical nature, the question arises whether the acceleration in wages represented a breakdown of income policy or whether it can be interpreted as a natural reaction of wage earners to previous shifts in the distribution of income.

The obligations assumed by the two main partners under the agreements may have led to a build-up of pressures which were bound to grow with time. On the employees' side the system of flat-rate wage increases in money terms implied a narrowing of income differentials. This could be expected to provoke defensive reaction by those whose relative position had weakened. On the employers' side, this type of wage increase entails different cost increases depending on a particular industry's " capacity to pay ". Given the large differences in productivity growth in Finland, pressures on prices were bound to be stronger than if there had been a better match between productivity and wage increases.

The initial years of the Stabilization Agreements have seen substantial changes in the distribution of income between the exposed and the sheltered sectors of the economy. Given the size of the devaluation and the subsequent favourable movement in export volume and prices, a shift towards profits in export industries might have been expected and was, indeed, intended. However, the size and duration of this shift, and the fact that the labour share also declined in sheltered industries (though to a lesser extent) suggests that the Stabilization Agreements played an independent role. Nevertheless, the years 1969 and 1970 saw exceptionally rapid increases in real wages. The economy's capacity to sustain such increases was greatly reduced in subsequent years when there was little margin of slack to be taken up and a marked deterioration in

1 The 1971 Agreement was negotiated towards the end of 1970, i.e. at a time when labour market pressures had attained a cyclical peak and the severeness of the subsequent downturn could not be foreseen.

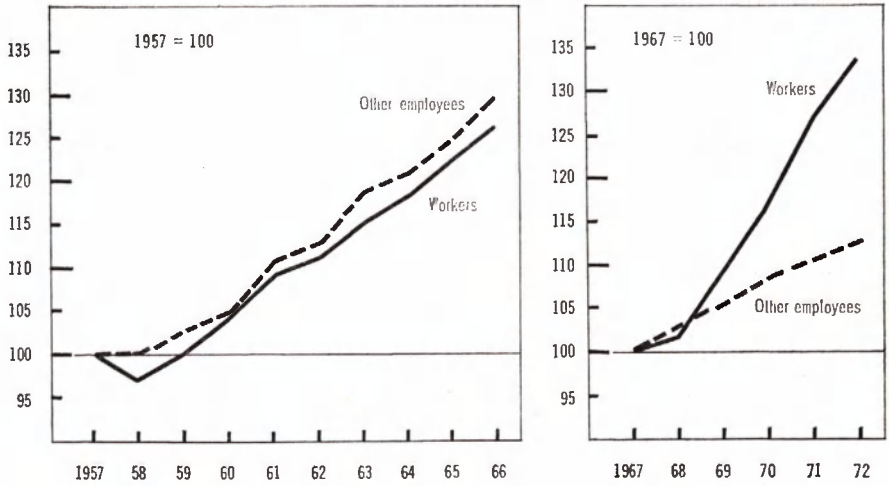
terms of trade occurred. However, against the background of rising import prices and increased profit margins, wage claims did not adjust. In fact, as demand for labour in certain key branches remained strong at the time of conclusion of the 1971 and 1972 wage agreements, nominal wage rates increased significantly faster than in the two preceding years. As the growth in productivity slowed down even more than was expected, cost pressures increased markedly, with the share of labour in national income increasing to 67.4 per cent in 1972 from the average level of 63.6 per cent in 1968-1970.

Concluding Observations

Evaluation of the success of the Stabilization Agreements (1969-1972) clearly depends on the criteria adopted. The primary objective of the first stabilization settlements to abolish the practice of indexation and to arrest the inflationary spiral was certainly achieved, while structural changes desirable from the balance-of-payments and employment points of view have probably been accelerated. It is true that the period of price stability was relatively short-lived, but in the absence of comprehensive agreements it seems very probable that the subsequent re-emergence of inflationary forces would have been even more marked. It is important to note that, over the cycle as a whole, Finland's price performance appears rather favourable. The underlying tendency of Finnish prices to accelerate between 1962 and 1968 was reversed or at least halted, and for the first time in post-war history Finnish rates of inflation were significantly below those of most other Member countries.

It is difficult to say how much credit for this relatively good performance should be attributed to stabilization policy alone. For the cycle as a whole average productivity growth was greater than in any of the other periods considered, while declining price stability abroad perhaps made it easier to

Diagram 5 **Development of Real Wages and Salaries**



Source: Finnish submission to the OECD.

achieve a good price performance in relative terms. Nevertheless, it would seem fair to allocate some independent credit to the form of policy and the attitudes it reflected. The fast productivity growth during 1969 and 1970 the maintenance of relatively high employment levels during the export-induced downswing phase of the cycle can itself be attributed in part to the successful operation of a prices and incomes policy. Furthermore, a significant contribution has been made to broader economic and social objectives. The conditions for a more active manpower policy have been improved and measures been taken to diversify the industrial base of the country (for instance, by using the proceeds of special taxes imposed on the wood-processing industry). At the same time wage rate differentials have been considerably narrowed by the implementation of flat-rate wage increases; the growth of workers' real wages has been about double that recorded during the 1960s and also about twice that for salaried employees.

III PROSPECTS

According to the recent official forecasts for this year, the moderate recovery of the business situation in late 1972 should gather momentum. Despite the contractual lengthening of annual holidays in 1973, the rate of growth of real GDP is expected to accelerate to more than 6 per cent of which some 1 percentage point may result from higher labour input. This could bring the unemployment rate down to 2 per cent by the end of the year. The decline of agricultural output should be less marked than last year and the depressed forestry industry will benefit from the revival of pulp and paper markets. Except for land and waterway construction, all main sectors of the economy are forecast to expand at least as fast as last year.

Exports and business investment will constitute the main sources of buoyancy in 1973. Deliveries to socialist countries may well rise by more than a quarter and the expected acceleration of growth in other Finnish markets abroad will also ensure continuation of rapid export growth. The bright export outlook should stimulate business fixed investment and revive the stock cycle. Nevertheless, it would seem that the principal uncertainty of short-term demand prospects attaches to the course of private productive investment. Future trading relations with the enlarged EEC are still unsettled, and investment decisions will also be influenced by the result which will emerge from the income negotiations. A number of investment projects seem to have been postponed awaiting clarification on the EEC treaty, but no reliable quantitative estimates exist of the volume of expenditure involved.

The official forecast for wages and prices is essentially of a normative nature. The key assumption is that this year's incomes negotiations will lead to a settlement which will restrict the increase in average negotiated wages to the long-term growth rate of productivity of 4 per cent. Further, the rise in earnings as a result of wagedrift is assumed to be the same as in 1972 Anticipating the slow-down of wage cost pressure, the rise of the consumer price index is forecast to fall from an average rate of 7.2 per cent last year to 6 per cent in 1973, with the year-on-year rate expected to be down to 4½ per cent by the final quarter.

Table 11 Official Forecasts for 1973
Percentage changes

	1971	1972	1973[1]
Basic Assumptions			
External			
Export markets (volume)[2]	3.4	7.1	10½
Merchandise exports (volume)	–2.9	16.8	10
Terms of trade	–1.4	–4.9	–½
" Bilateral trade " balance[3]	–1.5	–0.3	0
Internal			
Population of working age	0.4	1.0	0.8
Negotiated wage rates	8.9	8.8	5
Local government expenditure on goods and services (volume)	4.7	4.7	4½
of which: consumption	4.9	5.1	6
investment	4.1	2.9	–2
Central government expenditure on goods and services (volume)	2.9	8.2	3
of which: consumption	4.1	5.6	4½
investment	–0.9	16.4	–2½
Transfers (incl. subsidies) (value)	14.7	16.1	13.7
" Discretionary " budget impulse[3 4]	1.5	3.0	2.0
Endogenous Developments			
Private consumption (volume)	3.0	5.2	5½
Private investment (volume)	2.9	1.5	7½
of which: machinery and equipment	7.1	–3.7	8½
housing	–0.6	6.5	6½
other construction	1.5	2.8	9
Merchandise imports (volume)	–0.9	2.3	11
GDP (volume at factor cost)	2.2	4.9	6
Industrial production	2.6	7.7	8
Labour force	0.2	0.4	0.4
Unemployment rate[5]	2.2	2.6	2.2
GDP deflator	6.8	6.9	5½
Consumer price index	6.5	7.1	6
Total compensation per employee	13.6	11.8	8½
Unit labour costs, total	11.2	8.4	5½
manufacturing	12.8	8.3	..
Current Balance of Payments[3]	–3.0	–1.1	–1.2

1 Official forecasts.
2 Total OECD exports weighted by geographic structure of Finnish Trade.
3 Per cent of GDP (at market prices).
4 See Table 3 for definition of concept.
5 Per cent of labour force.
Source: Economic Survey; Finnish submission to OECD.

The 1973 Budget proposals were drawn up on the assumption that the level of domestic activity will recover along the lines indicated above. The broad strategy adopted is that the budget should be expansionary during the

early part of the year but gradually swing over to a more restrictive stance. Provision is made for an overall increase of 9.8 per cent (in nominal terms) in expenditure and of 11.0 per cent in revenue (both excluding financial transactions) over estimated actual 1972 outcome, to yield an income effective surplus of some 1.7 billion Markka (or 3.2 per cent of—previous year's—GDP, against a realised 2.9 per cent last year). Lending operations and redemptions of State debts will, however, absorb more than this estimated surplus, leaving a financing requirement of 615 million Markka against 445 million a year earlier.

The budget impact appears clearly less stimulatory than that of 1972. The "discretionary" budget impulse expressed in terms of GDP is estimated to recede to 2 per cent compared with 3 per cent in 1972. The increase in demand-effective expenditure is estimated to slow down to the rate of growth of nominal GDP and the increase in the tax ratio to accelerate. However, disaggregating changes in expenditure by major categories would indicate that the Budget may not be as restrictive as such broad estimates would suggest. Consumption—which has the highest impact multiplier of public sector expenditure—is estimated to increase in volume at about the same rate as last year. Subsidies (which involve almost exclusively price support to agriculture) will exceed last year's level by about 6 per cent, while the increase in income transfers to households will be approximately the same as last year. The major cut in expenditure will relate to fixed capital formation which in real terms is forecast to be about 2 per cent below last year's level. This reflects the cutback in employment-supporting public works and in purchases of machinery and equipment which anyway have a high import content. In assessing the Budget, account might also be taken of the timing of expenditure—e.g. the rate of public works expenditure to support employment will probably be maintained at an unchanged rate during the early part of the year. Should demand for labour not revive as foreseen, the system of supplementary budgets accords the fiscal system in Finland sufficient flexibility to meet such a situation.

Movements in the external account are notoriously difficult to forecast with any accuracy; the size of the current balance is sensitive to relatively small percentage changes in the value of either exports or imports. Official forecasts in the past have typically had an "optimistic" bias, but last year's proved "pessimistic" by a relatively wide margin[1]. Given that the volume of both merchandise exports and imports is expected to increase by some 10-11 per cent this year, plus the assumption that the terms of trade will remain almost steady, only a marginal increase in the trade deficit is officially forecast. Increased tourism and construction projects in the Soviet Union are expected to boost invisible earnings. Should this relatively favourable development of the current account materialise, the rate of capital inflow is likely to subside from the high levels attained during the past two years. This must, of course, be regarded as particularly fortunate, as both the cost and availability of foreign funds is likely to become less favourable as levels of activity abroad pick up.

1 This, however, was partly due to the exceptionally low level of merchandise imports in December.

IV CONCLUSIONS

The last couple of years have been particularly difficult for policy-making. Influenced by weak foreign demand, the post-devaluation boom levelled off during the second half of 1970 and was succeeded by two years of slower growth. Unemployment rose steadily through most of 1971 and 1972. But the easing of pressures on productive capacity and the labour market was not accompanied by a deceleration of wage increases. On the contrary, average nominal earnings rose faster than during the preceding two boom years and productivity advances declined. As a result, strong cost-push developed which, together with higher import prices, gave a marked twist to the inflationary spiral. At the same time, notably in 1971, the current balance-of-payments position was a matter of serious concern,

The authorities have sought to cope with this dilemma by following a flexible and selective policy approach. While maintaining a restrictive budgetary stance, specific measures were already taken in 1971 to support employment and ease the unemployment problem. In mid-1971, for the first time in nearly a decade, interest rates were also actively used as an instrument of economic policy in order to help both the balance of payments and the employment situation. The general level of interest rates was raised to support saving and restrict capital-intensive investment. Banks were requested to apply their maximum interest rates to loans for financing consumption of imports of consumer goods. When, in 1972, budgetary policy was shifted towards expansion, measures were concentrated on the expenditure side which permitted greater selectivity. Monetary conditions have been progressively eased in line with the improvement of the balance of payments and the need to strengthen investment demand.

This policy has been successful in the sense that the latest business downturn and drop in employment have been much less severe than in previous cycles, and that a better balance-of-payments position was restored in 1972. Inflation, on the other hand, which had re-emerged as a major problem in 1971, continued virtually unabated in 1972. But in contrast to previous periods of rapid inflation, price increases in Finland have not been stronger on average than in other European Member countries; and taking account of thede facto devaluation of the Markka in 1971, the relative cost position of manufacturing industries has remained favourable.

1973 is likely to mark the first full year of a new business upswing. Unemployment should decline and might return to a sustainable "full employment" rate by the end of the year. The current balance of-payments deficit may widen somewhat but this should not give rise to immediate concern. Given the present stage of industrialisation in Finland and the need for rapid diversification of exports and output, some net recourse to foreign resources would still appear appropriate. Financing conditions abroad may tighten somewhat in 1973 but should nevertheless remain ample, and the level of foreign exchange reserves would in any case seem less of a constraint than earlier.

But, given the desirability of reducing inflation and maintaining the current external deficit within reasonable limits, it is important that the expansion of

domestic demand during the current recovery should be kept under better control than has typically been the case during previous cyclical upswings. Assuming a 6 per cent increase in real GNP in 1973, unemployment may fall towards 2 per cent by the end of the year. In view of the growing imbalances in the labour market in recent years, it may be difficult to reduce the rate much further merely by an expansion of aggregate demand. Two important implications for policy follow from this. First, since domestic demand may tend to accelerate in 1974 because of a revival of business fixed investment, a change in the emphasis of demand management towards restraint may well already be needed in the second half of the present year. As pressures on resources may become particularly strong in the construction sector, it is essential that measures should be taken to restrict the growth of demand in this area. Since high levels of business fixed investment and residential construction would seem desirable, policy should as far as possible aim at limiting the growth of other types of construction. Second, manpower and regional policies have clearly an important role to play. During the recent business downturn unemployment rose rapidly in the northern and eastern parts of the country, while an acute labour shortage persisted and indeed worsened in the more prosperous south. A reversal of these tendencies will require not only a continuation of present retraining and relocation schemes but also a more intensive use of incentives for investment and employment in less developed regions.

In the medium run, prospects for keeping the economy to an important extent on a more even keel than in the past will depend on price and wage developments. These, in turn, will not only be determined by trends abroad and government policies but also by attitudes of the social interest groups. During the past five years (which cover a full business cycle) Finland has been operating a broadly-based prices and incomes policy which was initially remarkably successful in stabilizing prices and costs. The emergence of growing inflationary pressures abroad during 1970 together with strong demand for skilled manpower in certain industries and areas contributed, however, to pressures which were already building up against centralised wage bargaining and price control. After 2½ years the system had therefore to be changed to allow more flexibility and adjustment of wages and prices to market forces. This relaxation coincided with a period of slow productivity growth at home and more rapid inflation abroad, and it was therefore not surprising that costs and prices came under renewed pressure. Developments in 1971 and 1972, although complicating the task of maintaining an effective incomes policy, do not necessarily mean that the policy has broken down; rather, they could be viewed as a necessary correction of distortions that had developed, heavily influenced by stronger inflation abroad.

Although difficulties have arisen over the last two years, the Finnish incomes policy experiment must be accorded the credit for breaking the back of a severe inflationary spiral which developed from around the early 1960s and, indeed, for reversing this movement at a time when other countries were beginning to experience stronger inflationary pressures. There is also little doubt that the national income bargain approach has greatly helped policies to reduce wage differentials and to improve the relative position of recipients of transfer incomes.

The Government has recently submitted proposals to Parliament to put the present system of price control on a more permanent footing. In addition it is proposed to introduce a countercyclical deposits scheme for companies and a selective tax on construction. The proposals clearly reflect the strongly felt need for additional policy instruments to enable the Government to cope better with the major social and economic issues of the day.

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Annex

CALENDAR OF ECONOMIC EVENTS, JANUARY 1971 — FEBRUARY 1973

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CALENDAR OF ECONOMIC EVENTS, JANUARY 1971 — FEBRUARY 1973

1971

JANUARY	22	Law passed setting up Regional Development Fund disposing of at least 100 million Markka annually.
APRIL	2	First supplementary budget for 290 million Markka expenditure approved. Main provisions: transfer of 150 million Markka to Government Counter-cyclical Fund, expenditure of 75 million Markka for construction of rental housing, 25 million Markka for vocational schooling and 25 million Markka for forest improvement programme. Revenue of 125 million Markka budgeted for—i.e. the estimated yield of temporary 2.5 per cent countercyclical tax on exports of wood-processing industry.
MAY	13	Government announced release of Investment Deposits in November for investments in development areas and in housing. Remaining deposits to be used from beginning of February 1972. Private-sector Counter-cyclical Deposits to be used during 1972-early 1973.
JUNE	1	Interest rate on central bank credit increased from 7 to 8.5 per cent and general level of interest rates by 1 per cent.
	1	Quantitative restrictions imposed on bank credit for personal consumption.
	1	Temporary supplementary turnover of 15 per cent levied on consumer durables. The tax expired at the end of 1971.
	1	Import-equalisation tax covering 75 per cent of commodity imports imposed at rates between 1.2 and 5.0 per cent and with a weighted average of 2.3 per cent. Range of goods affected subsequently reduced to 60 per cent and weighted incidence to 2.2 per cent.
	2	Second supplementary budget for 173 million Markka approved by Parliament.
AUGUST	26	Previously announced release of Investment and Counter-cyclical Deposits speeded up; counter-cyclical funds to be drawn between beginning of November 1971 and end of September 1972 and investment funds between beginning of September 1971 and end of March 1973.

SEPTEMBER	10	Budget proposals for 1972 submitted to Parliament. The proposals that the 15 per cent supplementary turnover tax be retained in 1972 and that the rates of certain employer and employee social security contributions be increased were not approved by Parliament. Budget finally adopted provided for increase in expenditure (excluding financial investments) of 6 per cent and in revenue of 5 per cent over 1971 actual outcome, giving income surplus equivalent to 2.5 per cent of (1971) GDP compared with 2.3 per cent 1971 actual outcome. Greater part of State countercyclical deposits to be used during 1972.
OCTOBER	1	Commercial banks' credit quotas raised by 36 per cent.
DECEMBER	20	Bank of Finland began quoting forward exchange rates for transactions in US dollars. New central exchange rate of 4.10 Finnish Markka to the US dollar fixed, which entailed 2.44 per cent revaluation vis-a-vis US $ but 4 ½ - 5 per cent effective devaluation against all currencies.
	9	Third supplementary budget for 708 million Markka expenditure approved.

1972

JANUARY	1	General interest rate level lowered by ¾ of a percentage point.
	1	New comprehensive Employment Act came into force; provisions cover, inter alia, the timing of public sector investment, manpower training and mobility, and unemployment benefits.
MARCH	17	Agreement reached between Finnish Employers' Confederation and Confederation of Finnish Trade Unions providing guidelines for wage and salary settlements for the period 1 April 1972 - 31 March 1973. Agreement applied to all unions, whether or not members of the signatory organisations and called for continuation of the Special Economic Powers Act. Agreement provided for a combined flat-rate (25 pennis per hour) and percentage rate (3 per cent) increase in wage rates, with allocation of the latter element—which could also be used for flat-rate increases—to be decided by individual sector bargaining. Minimum wage raised from 550 Markka to 602 Markka per month. Settlement estimated to raise average earnings by 7 per cent.
	20	New agreement signed by Government and Central Union of Agricultural Producers on agricultural incomes for the period 1972-1973. "Target prices" in agriculture

raised on average by 7.6 per cent from 1 April 1972, of which 3.2 percentage points represented compensation for increased production costs. Regional subsidies increased and acreage subsidies raised in line with target prices. After allowing for decision to increase State food subsidies, new agreement estimated to raise the cost-of-living index by 0.9 per cent.

28 A new Special Economic Powers Act passed providing for Government control of prices and rents during the period covered by the centralised incomes agreement.

APRIL 1 A new National Health Act came into force. State support to local health centres estimated at about 170 million Markka per year and to increase by a further 30 million Markka annually in the next few years.

5 First supplementary budget for 3 million Markka expenditure approved,

MAY 10 Cabinet decided to relax price control without, however, restricting the coverage of price supervision. 47 categories of commodities freed fully and 24 partly from control.

23 Bank of Finland issued new credit guidelines. Banks to favour labour-intensive investment projects where employment effect would be felt during forthcoming autumn and winter.

JUNE 1 Bank of Finland cancelled restrictions on import credits for certain commodities. Commercial credits not exceeding six months allowed without limitation.

21 Second supplementary budget for 293 million Markka expenditure.

22 Bank of Finland abolished quantitative restrictions on personal credits introduced in June 1971.

JULY 12 Hire-purchase terms for certain consumer durables eased.

22 Draft free trade agreement between Finland and the EEC initialled. Tariffs to be cut by 20 per cent on each of 5 occasions and finally abolished by July 1977. Quantitative restrictions to be abolished immediately. Timetable stretched for certain sensitive industries; EEC tariffs on paper and paperboard to be abolished over 11 years and protection of certain vulnerable Finnish industries to be dismantled over 12 years.

OCTOBER 10 1973 Budget proposals presented to Parliament. Total expenditure (excluding financial transactions) up by 7.8 per cent and, with no tax changes but including a new levy to be imposed on liquid fuels, receipts (excluding financial transactions) up by 7.0 per cent on estimated actual 1972 figure—giving income surplus equivalent to 2.5 per cent of (1972) GDP compared with actual 1972 figure of 2.8 per cent.

DECEMBER	1	Government introduced Bill on agricultural incomes to come into force from April 1, 1973, and cover the 3 " pricing years " 1973/4 to 1975/6. Provisions similar to current legislation.
	8	Government submitted to Parliament draft " package " of legislation pertaining to a permanent system of economic stabilization covering countercyclical deposits, investment tax, export levies and price regulation.
	19	Finland proposed economic co-operation to the Council for Mutual Economic Assistance (COMECON). Up to now Finland has had only bilateral trade or co-operation agreements with individual member countries.
	20	Third supplementary budget covering expenditure for 940 million Markka approved. Among main items was increased appropriation for employment-promoting measures.
	20	Government proposal concerning the financing of improved national pension benefits accepted by Parliament. Both insured persons' and employers' contribution rates to national pension and employee sickness insurance increased.
	29	The President signed law extending free trade with Denmark and United Kingdom to end March 1973.

1973

JANUARY	16	The 1973 budget approved by Parliament.
	18	The Bill on agricultural incomes passed by Parliament.
FEBRUARY	1	Agreement reached with Denmark and United Kingdom to extend free trade to end of year.
	2	Government decision to construct oil refinery at cost of about 1.5 billion Markka.

STATISTICAL ANNEX

Table A **Supply and Use of Resources**
Mk. million, current prices

	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972
Consumers' expenditure on goods and services	12 051	13 710	14 983	15 861	17 189	18 682	20 998	22 902	24 828	28 014
General government current expenditure on goods and services	2 925	3 349	3 759	4 235	4 852	5 693	6 212	6 914	7 889	9 012
Defence	398	426	426	472	500	596	586	650	742	847
Civil	2 527	2 923	3 333	3 763	4 352	5 097	5 626	6 264	7 193	8 165
Gross fixed asset formation	5 269	5 757	6 705	7 142	7 298	7 802	9 171	11 262	12 800	14 403
Change in stocks	294	1 203	874	1 024	1 047	1 421	2 293	3 103	3 073	1 998
NATIONAL EXPENDITURE	20 539	24 019	26 321	28 262	30 386	33 598	38 674	44 181	48 590	53 427
Exports of goods and services (non-factor)	4 464	4 984	5 496	5 824	6 358	8 308	10 096	11 966	12 455	15 150
Imports of goods and services (non-factor)	4 462	5 450	5 989	6 309	6 635	7 758	9 758	12 555	13 399	15 140
GROSS DOMESTIC PRODUCT AT MARKET PRICES	20 541	23 554	25 828	27 777	30 109	34 148	39 013	43 592	47 647	53 436
Income payments from the rest of the world	25	28	38	34	37	72	100	141	188	207
Income payments to the rest of the world	95	129	170	184	246	347	424	538	665	800
GROSS NATIONAL PRODUCT AT MARKET PRICES	20 471	23 452	25 696	27 627	29 900	33 873	38 690	43 195	47 170	52 843
Indirect taxes	2 666	3 204	3 527	3 905	4 315	5 067	5 604	6 113	6 912	7 719
Subsidies	657	791	845	874	886	983	1 190	1 428	1 472	1 648
GROSS NATIONAL PRODUCT AT FACTOR COST	18 462	21 039	23 014	24 596	26 471	29 789	34 276	38 510	41 730	46 772
Depreciation and other operating provisions	2 056	2 268	2 454	2 567	2 748	3 119	3 923	4 524	4 554	5 191
NET NATIONAL PRODUCT AT FACTOR COST	16 406	18 771	20 560	22 029	23 723	26 670	30 353	33 986	37 176	41 581

Sources: Finnish submission to the OECD and Finnish National Accounting 1964-1973/I.

Table B **Supply and Use of Resources**
Mk. million, 1963 prices

	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972
Consumers' expenditure on goods and services	12 051	12 684	13 363	13 702	13 996	13 967	15 371	16 395	16 895	17 779
General government current expenditure on goods and services	2 925	3 067	3 229	3 395	3 580	3 791	3 947	4 170	4 358	4 592
Defence	398	402	380	402	399	426	399	420	437	455
Civil	2 527	2 665	2 849	2 993	3 181	3 365	3 548	3 750	3 921	4 137
Gross fixed asset formation	5 269	5 444	6 028	6 200	5 987	5 771	6 448	7 279	7 476	7 691
Change in stocks	294	1 292	1 237	1 037	995	803	1 385	2 481	2 336	1 664
NATIONAL EXPENDITURE	20 539	22 487	23 857	24 334	24 558	24 332	27 151	30 325	31 065	31 726
Exports of goods and services (non-factor)	4 464	4 724	4 970	5 318	5 633	6 269	7 360	7 925	7 835	9 014
Imports of goods and services (non-factor)	4 462	5 320	5 811	6 088	6 004	5 834	7 158	8 636	8 600	8 956
GROSS DOMESTIC PRODUCT AT MARKET PRICES	20 541	21 891	23 016	23 564	24 187	24 767	27 353	29 615	30 299	31 784
Income payments from the rest of the world	25	27	24	33	34	55	76	97	121	124
Income payments to the rest of the world	95	122	134	167	218	259	305	351	412	468
GROSS NATIONAL PRODUCT AT MARKET PRICES	20 471	21 796	22 906	23 430	24 003	24 563	27 124	29 361	30 008	31 440
Depreciation and other operating provisions	2 056	2 161	2 233	2 266	2 323	2 331	2 798	2 960	2 711	2 835
NET NATIONAL PRODUCT AT MARKET PRICES	18 415	19 635	20 673	21 164	21 680	22 232	24 326	26 401	27 297	28 605

Sources: Finnish submission to the OECD and Finnish National Accounting 1964-1973/I.

Table C **Gross Domestic Product by Industry of Origin**[1]
Mk. million, current prices

	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972
Agriculture, forestry and fishing	3 398	3 913	4 129	4 014	4 077	4 591	5 024	5 408	5 765	5 854
Mining and quarrying	109	145	153	177	192	227	328	370	228	250
Manufacturing	4 802	5 450	5 895	6 329	6 834	7 975	10 048	11 710	12 472	14 310
Electricity, gas and water works	561	594	639	730	784	859	937	1 037	1 107	1 305
Construction	1 733	1 960	2 230	2 418	2 625	2 771	3 136	3 702	4 087	4 652
Transport and communication	1 332	1 533	1 672	1 790	1 917	2 211	2 444	2 721	2 994	3 372
Wholesale and retail trade	1 965	2 235	2 459	2 650	2 761	2 926	3 368	3 787	4 139	4 779
Banking, insurance and real estate	428	499	577	648	729	814	873	943	1 088	1 251
Ownership of dwellings	1 302	1 446	1 558	1 680	1 833	1 973	2 080	2 196	2 333	2 535
Public administration and defence	720	843	944	1 087	1 213	1 417	1 550	1 702	1 925	2 175
Health and educational services	1 340	1 574	1 801	2 016	2 372	2 787	3 110	3 414	3 874	4 403
Miscellaneous services	842	948	1 069	1 207	1 343	1 513	1 702	1 917	2 194	2 479
GROSS DOMESTIC PRODUCT AT FACTOR COST	18 532	21 140	23 146	24 746	26 680	30 064	34 599	38 907	42 207	47 365
Net income payments abroad	–70	–101	–131	–150	–209	–275	–323	–397	–477	–593
GROSS NATIONAL PRODUCT AT FACTOR COST	18 462	21 039	23 015	24 596	26 471	29 789	34 276	38 510	41 730	46 772

1 According to OECD definition.
Sources: Finnish submission to the OECD and Finnish National Accounting 1964-1973/I.

Table D **Gross Domestic Product by Industry of Origin**[1]
Mk. million, 1963 prices

	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972
Agriculture, forestry and fishing	3 398	3 678	3 606	3 400	3 410	3 514	3 657	3 775	3 701	3 496
Mining and quarrying	109	112	119	109	120	121	136	146	138	151
Manufacturing	4 802	5 142	5 466	5 746	5 830	6 232	7 040	7 884	8 079	8 700
Electricity, gas and water works	561	591	631	694	721	757	884	978	1 025	1 106
Construction	1 733	1 779	1 938	1 966	2 005	1 936	2 071	2 233	2 195	2 323
Transport and communication	1 332	1 413	1 486	1 539	1 538	1 610	1 749	1 873	1 896	2 009
Wholesale and retail trade	1 965	2 083	2 232	2 286	2 326	2 263	2 541	2 758	2 875	3 097
Banking, insurance and real estate	428	448	476	496	537	543	569	597	648	695
Ownership of dwellings	1 302	1 361	1 418	1 480	1 548	1 612	1 679	1 758	1 845	1 933
Public administration and defence	720	749	777	827	853	890	924	959	1 001	1 039
Health and educational services	1 340	1 410	1 590	1 529	1 607	1 695	1 790	1 883	1 960	2 064
Miscellaneous services	842	886	933	968	1 004	1 043	1 113	1 191	1 256	1 261
GROSS DOMESTIC PRODUCT AT FACTOR COST	18 532	19 652	20 572	21 040	21 499	22 216	24 153	26 035	26 619	27 870
Net income payments abroad	–70	–95	–110	–134	–184	–204	–229	–254	–290	–344
GROSS NATIONAL PRODUCT AT FACTOR COST	18 462	19 557	20 462	20 906	21 315	22 012	23 924	25 654	26 329	27 526

1 According to OECD definition.
Sources: Finnish submission to the OECD and Finnish National Accounting 1964-1973/I.

Table E **Gross Fixed Asset Formation**[1]
Mk. million, 1963 prices

	1962	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972
GROSS FIXED ASSET FORMATION, TOTAL	5 402	5 269	5 444	6 028	6 200	5 987	5 771	6 448	7 279	7 476	7 691
PRODUCT CLASSIFICATION:											
Dwellings	1 250	1 285	1 167	1 271	1 336	1 348	1 312	1 473	1 757	1 791	1 952
Other buildings	887	911	1 071	1 278	1 233	1 315	1 144	1 352	1 539	1 465	1 518
Other construction and works	1 083	1 154	1 207	1 298	1 331	1 319	1 391	1 278	1 235	1 281	1 376
Other equipment	2 182	1 919	1 999	2 181	2 300	2 005	1 924	2 345	2 748	2 939	2 845
INDUSTRIAL CLASSIFICATION:											
Agriculture, forestry and fishing	543	539	542	557	574	501	491	597	614	585	542
Mining and quarrying	24	15	20	26	43	32	51	40	35	54	52
Manufacturing	1 166	979	1 100	1 189	1 228	1 031	1 054	1 263	1 766	1 892	1 815
Construction	142	131	132	159	215	172	141	163	173	165	174
Electricity, gas and water works	317	324	263	313	289	265	243	285	345	478	492
Transport and communication	1 083	1 116	1 190	1 324	1 282	1 301	1 258	1 319	1 245	1 189	1 289
Ownership of dwellings	1 168	1 203	1 079	1 168	1 210	1 212	1 172	1 321	1 610	1 623	1 776
Public administration and defence	188	231	243	269	296	300	315	332	300	322	338
Other service industries and commerce[2]	771	731	875	1 023	1 063	1 173	1 046	1 128	1 191	1 168	1 213

1 According to OECD definition, i.e. excluding repairs and maintenance.
2 Including banking and insurance.
Sources: Finnish submission to the OECD and Finnish National Accounting 1964-1973/I.

Table F Central Government Revenue and Expenditure

Fiscal years = Calendar years

Mk. million

	1964	1965	1966	1967	1968	1969	1970	1971	1972
CURRENT REVENUE[1]	5 726	6 406	7 149	8 051	9 298	10 232	11 603	13 310	15 099
Direct taxes on households	1 480	1 698	1 967	2 395	2 884	3 247	3 996	4 756	5 592
Direct taxes on corporations	506	570	607	612	556	544	547	561	625
Indirect taxes	3 193	3 516	3 894	4 304	5 057	5 593	6 101	6 900	7 706
Income from property and entrepreneurship	340	387	414	467	492	530	595	659	714
Other domestic current transfers	207	221	255	263	298	315	361	430	458
Current transfers from the rest of the world	—	14	13	11	12	4	3	4	4
CURRENT EXPENDITURE[1]	4 439	5 056	5 655	6 421	7 418	8 155	9 065	10 299	11 902
Purchase of goods and services	1 554	1 698	1 881	2 125	2 479	2 635	2 927	3 326	3 811
Defence	426	426	472	500	597	586	651	741	847
Civil	1 127	1 272	1 409	1 625	1 883	2 049	2 276	2 585	2 964
Subsidies	791	845	875	886	983	1 190	1 427	1 463	1 636
Interest on the public debt	151	191	201	254	286	300	289	299	305
Current transfers	1 943	2 322	2 699	3 156	3 671	4 030	4 422	5 211	6 150
To other public authorities	558	631	787	907	1 106	1 190	1 335	1 495	1 766
To households, etc.	1 380	1 683	1 902	2 238	2 545	2 804	3 054	3 678	4 334
To the rest of the world	5	8	9	11	20	36	33	38	50
NET CURRENT SAVING	1 288	1 349	1 494	1 631	1 880	2 077	2 539	3 011	3 197
Depreciation and other operating provisions	106	119	134	153	179	202	223	248	277
GROSS SAVING	1 394	1 468	1 628	1 784	2 059	2 279	2 761	3 258	3 474
Gross fixed asset formation	1 033	1 223	1 274	1 296	1 464	1 416	1 378	1 518	1 834
SURPLUS ON CURRENT AND FIXED INVESTMENT ACCOUNT (FINANCIAL SAVING)	361	245	354	488	595	863	1 383	1 741	1 640

1 Including Social Security Fund and Government enterprises.

Source: Finnish submission to the OECD.

Table G **Balance of Payments**
$ million

	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972[1]
Exports of goods, fob	1 143	1 284	1 419	1 495	1 523	1 626	1 975	2 294	2 344	2 931
Imports of goods, cif	1 212	1 510	1 652	1 732	1 706	1 602	2 030	2 643	2 801	3 204
TRADE BALANCE	–69	–226	–233	–237	–183	24	–55	–349	–457	–273
Transportation	76	103	107	111	122	115	138	170	157	171
Travel	–31	–36	–34	–30	–26	–2	1	34	59	78
Other services	23	14	11	8	–7	–6	–3	4	16	22
Investment income and transfers	–20	–32	–41	–50	–50	–67	–60[4]	–99	–117	–144
CURRENT BALANCE	–21	–176	–190	–198	–144	64	21	–240	–342	–146
Long-term borrowing	160	238	136	162	267	296	251	352	650	750
Amortization of long-term loans	–51	–71	–85	–85	–119	–207	–172	–165	–204	–251
Long-term export credits (net)	..	–10	–21	–19	–10	–40	–43	–60	–50	–94
Other long-term capital items (net)[2]	–7	–3	1	–10	4	–19	–12	–48	–21	–34
Short-term capital[3]	–46	78	71	39	–30	47	–8	270	138	–102
NON-MONETARY TRANSACTIONS	35	56	–88	–111	–32	142	37	109	171	123
SDR allocations	—	—	—	—	—	—	—	21	20	21
Change in reserves of										
Central Bank (incl. IMF credit tranche)	35	56	–63	–100	–25	158	–27	134	132	66
Other	—	—	–25	–11	–7	–16	64	–4	60	78

1 Estimates.
2 Including direct investment.
3 Including errors and omissions.
4 Including the writing off by the Government of Sweden of a debt of about $ 19 million.

Sources: Bank of Finland Monthly Bulletin and Finnish submission to the OECD.

Table H Quarterly National Accounts

	Gross Domestic Product Volume indices, 1964 = 100, seasonally adjusted										National Income Mk. million					
		By industry of origin											Net national income			
	Total	Industry[1]	Agriculture	Forestry	Construction of buildings	Other constr.	Transport and comm.	Commerce, banking, insurance	General government	Other services	Net dom. prod. factor cost	Net factor payments to rest of world	Total	*of which:* Wages and salaries	Employers' contr. to Soc. Sec.	Other factor incomes
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1965	105	107	96	103	112	103	106	108	105	105	20 691	131	20 560	11 142	1 582	7 836
1966	107	112	99	90	113	106	109	110	109	109	22 179	150	22 029	12 221	1 751	8 057
1967	111	116	96	90	120	106	109	114	115	113	23 932	209	23 723	13 270	2 057	8 396
1968	114	123	96	95	111	108	114	112	121	117	26 945	275	26 670	14 763	2 320	9 587
1969	124	140	96	104	123	105	123	124	127	123	30 676	323	30 353	16 433	2 682	11 238
1970	133	157	96	116	138	98	132	133	133	130	34 382	397	33 985	18 538	3 118	12 329
1971	135	161	94	109	135	96	134	139	140	136	37 652	477	37 176	20 827	3 801	12 548
1972	142		92	101	144	104	142	150	146	143	42 174	593	41 581	23 631	4 381	13 569
Quarterly:																
1969 1	120	134	97	104	115	106	120	121	125	121	7 408	57	7 352	3 875	635	2 842
2	123	138	96	103	115	107	122	124	126	122	7 390	84	7 306	4 010	655	2 641
3	125	142	96	99	131	104	123	124	128	124	7 831	80	7 751	4 195	682	2 874
4	127	146	93	112	131	102	128	128	130	125	8 047	102	7 944	4 353	710	2 881
1970 1	131	153	102	114	131	102	128	131	131	127	8 244	86	8 158	4 331	731	3 096
2	130	155	88	114	130	96	131	129	132	129	8 325	96	8 229	4 526	763	2 940
3	134	160	93	119	142	100	135	135	134	130	8 624	110	8 513	4 746	796	2 971
4	136	160	99	117	149	96	134	136	136	132	9 189	105	9 085	4 935	828	3 322
1971 1	128	143	89	114	132	93	132	136	137	133	8 778	135	8 643	4 751	867	3 021
2	137	165	96	108	139	96	134	142	138	135	9 252	118	9 135	5 091	932	3 112
3	137	166	97	116	131	98	135	139	140	137	9 474	121	9 353	5 346	976	3 031
4	138	169	93	99	141	98	134	140	142	139	10 148	103	10 045	5 639	1 026	3 380
1972 1	140	167	97	98	150	101	138	149	144	140	10 219	141	10 078	5 370	998	3 710
2	140	169	92	100	142	101	143	145	145	142	10 266	156	10 111	5 879	1 093	3 139
3	141	168	91	105	137	105	142	151	147	144	10 420	148	10 272	6 097	1 129	3 046
4	146		90	102	147	108	144	157	149	145	11 269	148	11 121	6 285	1 161	3 675

1 Mining and manufacturing, electricity, gas and water works.

Sources: Bank of Finland Economic Indicators for Finland, Central Statistical Office, Statistical Reports, National Accounting 1964-1973/I and the Ministry of Finance.

Table I Labour Market

	Labour Force Surveys								Registered Unemployment		Employment Exchange Service					
	Labour force		Employment		Labour input		Unemployment (per cent of labour force)		Total	*of which:* Insured[1]	Application for employment			Jobs reported vacant		
											During period		Outstandg[2]	During period		Outstandg[2]
	Orig.	Adj.	Orig.	Adj.	Orig.	Adj.	Orig.	Adj.			Orig.	Adj.	Orig.	Orig.	Adj.	Orig.
	1 000 persons				1 000 man-years		Per cent		1 000 persons		1 000 persons			Thousands		
	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32
1965	2 202		2 171		1 895		1.4		25.0	11.3	75.4		33.2	33.6		5.2
1966	2 215		2 180		1 904		1.6		28.7	13.8	81.0		36.4	35.0		6.0
1967	2 205		2 142		1 842		2.9		45.1	20.2	106.3		54.6	32.3		5.2
1968	2 188		2 100		1 754		4.0		61.1	..	117.3		73.2	30.3		5.0
1969	2 189		2 127		1 752		2.8		52.7	25.4	106.8		63.4	45.3		8.5
1970	2 194		2 153		..		1.9		37.7	19.9	88.4		48.3	51.6		13.3
1971	2 198		2 150		..		2.2		44.1	25.7	93.3		55.4	42.1		11.7
1972					..		2.6		59.5	30.7						15.8
Quarterly:																
1969 1	2 130	2 191	2 037	2 115	1 763	1 722	4.4	3.3	76.9	41.6	129.3	116.3	90.6	32.7	40.3	7.0
2	2 194	2 180	2 128	2 114	1 795	1 763	3.0	3.1	51.9	24.4	119.7	109.3	43.0	53.3	44.0	7.7
3	2 266	2 190	2 221	2 134	1 692	1 741	2.0	2.6	35.5	13.6	87.0	105.0	43.5	51.0	46.7	10.1
4	2 166	2 193	2 121	2 143	1 794	1 736	2.1	2.3	42.2	21.5	91.3	95.7	50.8	44.3	47.7	8.6
1970 1	2 131	2 195	2 074	2 156	..	..	2.7	2.0	52.2	29.3	100.0	90.0	63.9	38.7	49.7	10.3
2	2 209	2 193	2 166	2 152	..	..	1.9	1.9	40.9	22.6	100.3	89.7	35.0	62.3	51.7	14.8
3	2 276	2 198	2 244	2 156	..	..	1.4	1.8	27.3	12.8	73.7	89.0	33.3	57.3	52.0	18.1
4	2 160	2 186	2 128	2 148	..	..	1.5	1.7	30.6	15.0	79.7	86.0	43.7	48.0	50.3	11.4
1971 1	2 116	2 183	2 059	2 143	..	..	2.7	2.0	54.3	33.3	101.3	91.0	76.4	31.7	42.3	8.2
2	2 221	2 201	2 172	2 156	..	..	2.2	2.3	45.3	27.7	107.0	95.7	40.8	50.3	41.7	12.4
3	2 280	2 201	2 237	2 150	..	..	1.8	2.3	34.3	17.8	78.0	94.0	40.8	46.7	42.3	13.9
4	2 177	2 204	2 131	2 150	..	..	2.2	2.5	42.4	23.9	87.0	96.0	55.5	39.7	41.7	10.0
1972 1	2 129	2 199	2 057	2 143	..	..	3.4	2.5	72.4	40.1	122.3	109.3	78.0	37.3	48.7	11.8
2	2 230	2 208	2 174	2 157	..	..	2.5	2.6	64.2	31.6	134.3	118.3	66.4	59.7	53.7	16.6
3	2 278	2 199	2 228	2 141	..	..	2.2	2.8	48.4	24.0	96.0	116.3	50.9	60.3	55.3	19.7
4					..	..	2.2		52.9	27.1						14.5

1 Figures prior to 1968 are not fully comparable with later figures.
2 Yearly: average of end of month figures; quarterly figures: end of period. From 1970 monthly data refer to the middle of the month.
Sources: Central Statistical Office Bulletin of Statistics and Bank of Finland Economic Indicators for Finland.

Table J Production and Employment by Sector and Commerce (*continued on following page*)

	Industry													Forestry		
	Industrial production (seasonally adjusted)[1] 1964 = 100											Employment (thous.)		Timber fellings[2] (mill. m³)		Labour force in commercial logging
			Manufacturing									Acc. to labour force survey				
	Total	Mining and quarrying	Total (unadjusted)	Food, beverages, tobacco	Textiles	Clothing, footwear	Wood products	Paper and paper prod.	Chem. icals	Metals and metal prod.	Elec., gas, water works	Number of persons	Man-years (man-months)	Orig.	Adj.	
	ISIC	1	2-3	20-22	23	24	25	27	31	34-38	5					1 000 pers.
	33	34	35	36	37	38	39	40	41	42	43	44	45	46	47	48
1965	107	107	107	108	96	99	104	107	111	109	107	512	471	35 356		..
1966	112	97	112	111	105	110	94	113	117	110	118	535	492	29 440		70
1967	117	108	116	122	109	117	98	111	128	114	122	535	475	30 240		65
1968	123	109	123	125	112	113	104	119	139	121	128	527	442	31 859		63
1969	140	123	139	137	132	134	119	132	156	136	150	544	447	35 338		63
1970	157	132	155	144	138	155	129	139	184	159	171	570	455	39 267		64
1971	161	125	159	151	135	152	129	137	199	158	179	567		36 264		53
Quarterly:																
1969 1	134	117	139	133	125	124	115	123	150	129	144	518	464	4 358	2 990	96
2	139	121	145	135	134	137	117	134	152	134	147	553	470	3 071	2 780	42
3	142	127	123	140	135	139	118	135	158	135	153	564	402	1 116	2 670	36
4	146	128	150	140	132	139	124	137	166	141	158	542	454	3 235	3 210	79
1970 1	153	131	157	143	134	152	128	140	180	152	167	548	458	4 590	3 170	98
2	155	129	161	144	139	154	126	136	180	158	168	579	483	3 481	3 300	46
3	159	134	138	144	137	156	128	143	185	162	170	588	416	1 456	3 430	37
4	160	134	162	146	133	151	130	135	194	163	174	564	462	3 562	3 520	74
1971 1	143[3]	77[3]	148	152	131	147	130	135	185	102[3]	171	535		4 737	3 320	86
2	165	154	173	150	136	139	132	136	211	176	177	572		3 243	3 140	43
3	166	137	145	148	142	154	121	135	204	180	180	589		1 392	3 230	30
4	169	138	172	156	140	157	128	142	200	177	188	572		2 708	2 740	51
1972 1	167	136	172	155	142	155	126	144	215	175	196	553		3 865	2 700	57
2	169	134	175	154	144	156	130	142	210	176	196	586		2 823	2 720	34
3	168	133	146	161	139	158	116	144	176	170	199	594		1 197	2 670	27

1 Yearly figures and manufacturing, total are averages of unadjusted quarterly figures.
2 Quarterly figures are indicated as monthly rates.
3 Affected by strike.

Sources: Central Statistical Office Bulletin of Statistics and Bank of Finland Economic Indicators for Finland and OECD Main Economic Indicators.

Table J **Production and Employment by Sector and Commerce** (*continued*)

	Agriculture			Building and Construction								Commerce				
	Production		Employment[1]	Building permits granted		Building starts		Work in progress end of period		Dwellings completed (thous.)	Employment[1]	Retail sales			Passenger car registrations (thous.)	Employment in commerce[1]
	Quantity of milk received by dairies (mill. liter)			Total	*of which:* Dwellings	Total	*of which:* Dwellings	Total	*of which:* Dwellings			Value[2] 1964 = 100	Volume[3] 1964 = 100			
	Orig.	Adj.		Mill. cu. m.									Orig.	Adj.		
	49	50	51	52	53	54	55	56	57	58	59	60	61	62	63	64
1965	2 901		539	31.71	12.12	27.59	11.13	31.41	12.31	36.7	199	112	107		100.1	303
1966	2 876		525	36.70	15.98	31.19	14.02	36.19	14.81	36.5	200	120	110		78.9	304
1967	2 809		490	28.82	11.51	25.61	10.84	31.40	13.30	38.7	199	130	114		65.8	309
1968	2 909		459	31.58	14.00	29.11	12.49	34.09	14.00	36.0	184	165	115		48.4	310
1969	2 951		439	38.95	15.38	34.12	14.11	36.40	15.48	40.5	189	181	124		84.5	311
1970	2 801		409	41.42	17.96	39.66	16.38	36.56	14.95	49.7	190	198	130		92.1	318
1971	2 797		382	42.63	19.54	36.37	16.89	37.34	16.79	50.5	187	216	135		75.3	322
Quarterly:																
1969 1	626	731	393	5.43	2.12	3.13	0.97	32.29	12.98	6.0	165	152	105	121	15.0	297
2	876	740	448	11.98	4.95	10.80	5.20	37.06	15.60	8.9	188	183	130	124	30.5	309
3	826	736	499	11.78	4.94	10.63	4.50	38.14	16.53	12.7	212	179	116	124	22.6	325
4	623	738	417	9.76	3.37	9.56	3.44	36.40	15.48	12.9	193	212	144	125	16.4	310
1970 1	608	715	367	6.58	2.57	5.12	1.48	35.82	14.25	8.5	172	165	112	128	22.3	309
2	824	698	417	14.25	6.04	12.74	5.80	41.20	16.69	11.5	190	201	135	129	30.5	321
3	788	702	463	11.52	5.12	12.63	5.14	42.55	17.04	13.5	206	197	124	133	23.4	332
4	581	686	390	9.07	4.23	9.17	3.96	36.56	14.95	16.3	191	231	150	130	16.0	310
1971 1	580	684	337	6.52	2.86	3.21	1.24	32.98	13.04	9.4	167	181	120	138	23.0	309
2	821	696	388	13.59	5.54	13.37	6.22	37.90	15.87	12.1	185	225	146	140	39.8	327
3	797	707	419	12.90	6.66	11.32	5.00	41.76	17.76	12.8	204	211	125	135	6.9	335
4	599	707	376	9.62	4.48	8.47	4.43	37.34	16.79	16.2	191	245	150	130	5.6	316
1972 1	608	719	319	7.31	2.73	4.55	1.59	34.01	15.31	11.0	165	214	131	150	31.1	306
2	841	715	367	13.52	6.22	11.83	5.84	38.57	17.41	13.8	184	239	149	143	26.7	323
3	789	699	381	13.44	6.11	11.59	5.18	40.93	18.45	15.9	200	231	141	152	22.2	331

1 According to labour force surveys, thousand persons.
2 From 1968 including sales tax.
3 Break in series from 1969.

Sources: Central Statistical Office Bulletin of Statistics and Bank of Finland Economic Indicators for Finland.

Table K Foreign Trade, Total and by Area

$ million, monthly rates

	Imports, cif								Exports, fob							
	Total		By area						Total		By area					
			OECD countries				East. Europe and China	Other countries			OECD countries				East. Europe and China	Other countries
	Orig.	Adj.	Total	EEC	EFTA	Other OECD			Orig.	Adj.	Total	EEC	EFTA	Other OECD		
	65	66	67	68	69	70	71	72	73	74	75	76	77	78	79	80
1965	137.1		102.0	42.3	47.4	12.3	25.5	9.7	118.9		84.2	33.4	39.7	11.1	25.1	9.7
1966	143.9		104.8	41.0	51.9	11.9	28.2	10.9	125.4		91.7	34.5	44.7	12.5	23.7	10.1
1967	139.7		99.9	38.4	50.4	11.1	27.7	12.1	126.1		88.6	29.8	46.9	11.9	27.3	10.2
1968	132.7		94.7	35.1	49.9	9.7	27.6	10.5	136.3		99.9	33.6	53.7	12.6	26.3	10.2
1969	168.6		125.2	46.1	65.5	13.6	28.0	15.4	165.4		123.3	39.7	67.0	16.6	29.3	12.9
1970	219.8		164.2	59.1	86.1	19.0	35.9	19,6	192.2		144.8	44.7	83.3	16.8	31.2	16.2
1971	233.0		176.0	61.3	94.8	19.9	42.7	14.3	196.4		151.6	43.7	90.5	17.4	28.5	16.3
Quarterly:																
1969 1	153.9	162	110.8	37.3	57.9	15.6	26.4	16.7	135.5	161	100.7	32.1	55.0	13.6	22.7	12.1
2	158.9	152	121.6	45.6	62.8	13.2	22.5	14.9	159.8	153	117.6	36.4	63.5	17.7	28.9	13.3
3	160.3	167	115.9	43.3	61.5	11.1	29.5	14.9	173.0	168	128.0	44.5	66.9	16.6	32.6	12.4
4	201.1	187	152.7	58.2	79.8	14.7	33.4	15.0	193.3	179	146.8	45.7	82.4	18.7	32.9	13.6
1970 1	182.8	196	139.0	51.1	73.9	14.0	29.3	14.5	165.6	190	128.8	39.2	75.0	14.6	25.4	11.5
2	215.6	207	163.6	58.5	86.9	18.2	33.0	19.1	194.1	188	145.3	45.6	82.3	17.4	31.2	17.6
3	213.0	223	158.2	59.0	81.3	17.9	36.5	18.3	197.1	194	148.4	47.8	83.6	17.0	30.2	18.5
4	267.9	248	196.2	67.7	102.1	26.4	41.7	30.1	212.4	197	157.2	46.2	92.8	18.2	38.0	17.2
1971 1	200.0	210	160.7	54.1	86.8	19.8	30.4	8.9	173.1	196	134.0	39.2	78.6	16.2	22.0	17.1
2	220.2	215	167.9	59.4	88.3	20.2	37.6	14.7	182.8	179	138.8	41.7	80.4	16.7	30.5	13.5
3	226.0	237	162.2	56.2	87.5	18.5	50.0	13.8	199.6	196	159.0	44.5	95.5	19.0	26.3	14.3
4	283.1	263	212.7	75.5	116.3	20.9	50.5	19.9	230.4	213	174.8	49.4	107.5	17.9	35.3	20.3
1972 1	240.0	249	186.5	72.9	93.6	20.0	35.6	17.9	234.6	261	185.5	47.8	111.0	26.7	31.5	17.6
2	267.6	264	205.5	71.1	110.9	23.5	42.7	19.4	233.4	230	182.9	47.3	115.3	20.3	36.1	14.4
3	259.7	278	189.6	70.3	100.5	18.8	43.9	26.2	243.6	243	186.3	54.6	109.5	22.2	37.4	19.9

Source: OECD Foreign Trade Statistics, Series A and Main Economic Indicators.

Table L Imports: Prices, Volume, Value and by Commodity Group

	Import Prices (Markka) 1949 = 100				Volume of Imports[1] 1962 = 100						Value of Imports Mk. million					
	Total	Crude materials	Simply processed	Finished goods	Total		Raw materials	Fuels and lubricants	Investment goods	Consumer goods	Total	Raw materials, etc.	Fuels and lubricants	Investment goods	Consumer goods	
					Orig.	Adj.	Adj.	Adj.	Adj.	Adj.					Passenger cars	Other
	81	82	83	84	85	86	87	88	89	90	91	92	93	94	95	96
1965	193	202	171	208	129	..	128	147	126	129	5 265	2 361	515	1 183	328	878
1966	191	205	164	208	135	..	134	174	115	149	5 524	2 450	590	1 198	251	1 036
1967	201	212	175	219	135	..	133	187	111	152	5 794	2 546	668	1 245	218	1 117
1968	243	256	218	260	130	..	134	195	94	146	6 711	3 023	874	1 327	197	1 289
1969	262	258	249	279	160	..	158	214	133	186	8 505	3 693	949	1 884	345	1 634
1970	277	269	258	305	191	..	190	259	159	218	11 071	4 918	1 243	2 526	379	2 004
1971	292	281	259	336	189	..	181	243	170	216	11 734	4 639	1 557	3 102	326	2 111
1972					196	..	188	260	157	240	13 114	5 244	1 627	3 107	480	2 657
Quarterly:																
1969 1	252	257	232	271	148	156	146	271	128	170	1 940	759	272	463	75	371
2	259	257	247	273	157	156	156	158	136	176	2 003	856	168	462	130	386
3	268	260	263	281	147	158	158	206	135	185	2 020	933	239	401	72	373
4	269	260	254	291	187	167	166	219	132	210	2 544	1 138	268	557	68	504
1970 1	274	267	256	298	168	179	177	277	143	206	2 303	978	258	521	94	452
2	275	268	257	299	187	187	195	233	136	224	2 717	1 249	273	543	131	520
3	278	269	263	302	181	194	190	248	170	224	2 684	1 233	323	574	74	480
4	283	271	255	320	229	202	192	265	184	217	3 368	1 458	388	890	80	552
1971 1	288	281	254	328	172	186	179	214	172	213	2 529	1 002	254	688	95	491
2	290	279	257	332	182	183	168	235	169	201	2 789	1 027	378	757	133	494
3	295	283	262	337	182	193	184	259	166	226	2 858	1 161	473	686	31	508
4	298	281	262	349	220	192	188	236	167	222	3 557	1 448	451	973	67	618
1972 1	308	287	271	362	181	198	195	231	162	234	2 950	1 185	298	752	113	602
2	318	294	285	371	203	204	194	245	170	245	3 292	1 278	389	824	146	650
3	320	296	289	370	186	196	184	271	161	238	3 194	1 264	478	720	103	630
4					214	186	179	262	134	244	3 678	1 517	462	811	118	775

1 Yearly figures are averages of unadjusted quarterly figures.

Sources: Board of Customs Monthly Bulletin of Foreign Trade, Central Statistical Office Bulletin of Statistics and Bank of Finland Economic Indicators for Finland.

Table M Exports: Prices, Volume, Value and by Commodity Group

	Prices 1949 = 100		Volume of Exports[1] 1962 = 100							Value of Exports Mk. million						
													Manufactured products			
														of which:		
	Total	of which: Pulp	Total		Wood ind. prod.	Paper ind. prod.	Metal and engin. prod.	Forestry prod.	Other prod.	Total	Agri-cultural prod.	Forestry prod.	Total	Wood ind. prod.	Paper ind. prod.	Metal and engin. prod.
			Orig.	Adj.	Adj.	Adj.	Adj.	Adj.	Adj.							
	97	98	99	100	101	102	103	104	105	106	107	108	109	110	111	112
1965	249	234	114	..	97	128	101	30	158	4 566	252	60	4 252	920	2 166	800
1966	244	224	122	..	92	138	111	32	170	4 817	264	59	4 492	863	2 297	877
1967	257	239	129	..	90	135	140	28	214	5 231	261	54	4 911	866	2 384	1 081
1968	303	276	143	..	104	144	167	26	168	6 874	327	56	6 486	1 158	2 994	1 566
1969	317	292	167	..	116	158	203	33	224	8 345	360	72	7 896	1 400	3 374	2 012
1970	343	354	176	..	121	161	212	37	261	9 687	426	88	9 156	1 544	3 789	2 437
1971	360	381	170	..	122	151	195		272	9 897	547	89	9 245	1 653	3 721	2 323
1972			197	..	131	172	219		339	12 082	634	56	11 371	1 824	4 253	3 246
Quarterly:																
1969 1	314	281	141	157	112	153	189	29	210	1 707	117	6	1 577	213	770	367
2	314	281	171	166	112	159	217	25	205	2 014	69	15	1 926	318	828	516
3	319	303	167	170	128	157	209	38	231	2 179	65	30	2 083	458	845	493
4	322	306	190	176	120	165	211	45	254	2 445	110	22	2 310	411	931	636
1970 1	334	324	158	172	115	159	198	20	272	2 086	127	4	1 953	239	857	537
2	342	344	176	175	121	165	205	36	254	2 442	93	23	2 319	377	976	624
3	347	371	177	182	128	167	209	44	280	2 483	100	36	2 343	467	978	548
4	349	376	194	180	127	155	249	48	248	2 676	107	25	2 545	461	979	727
1971 1	356	385	155[2]	166[2]	126	152	183[2]		264	2 180	142	8	2 027	291	917	465
2	359	385	157[2]	160[2]	128	146	156[2]		261	2 303	119	29	2 151	404	890	505
3	360	381	174	178	120	149	250		269	2 514	118	30	2 361	458	881	648
4	363	376	195	182	129	158	210		302	2 900	167	22	2 705	500	1 033	706
1972 1	372	366	194	206	143	168	277		314	2 885	200	8	2 674	362	1 040	826
2	376	367	189	196	124	158	254		351	2 872	146	12	2 708	399	950	884
3	374	358	193	197	133	184	204		333	2 996	131	20	2 841	517	1 102	687
4			211	197	139	181	180		362	3 329	157	16	3 148	546	1 161	849

1 Yearly figures are averages of unadjusted quarterly figures.
2 Affected by strike.

Sources: Board of Customs Monthly Bulletin of Foreign Trade, Central Statistical Office Bulletin of Statistics and Bank of Finland Economic Indicators for Finland.

Table N Prices and Wages

	Consumer Prices, 1957 = 100						Wholesale Prices 1949 = 100			Building cost 1964 = 100	Wage and Salary Earners' Average Earnings 1964 = 100					
												of which:				
														Manufacturing		
	Total	Food	Rent	Heating and light	Clothing and footwear	Other	Total	Domestic goods	Imported goods		All wage and salary earners	Agriculture	Forestry	Total	*of which:* Wage earners	Construction
	113	114	115	116	117	118	119	120	121	122	123	124	125	126	127	128
1965	140	144	140	111	135	141	236	242	214	105	109	115	110	108	109	108
1966	145	149	145	116	138	148	241	247	216	108	116	128	114	117	117	116
1967	153	156	151	126	143	160	248	254	225	114	127	139	124	127	128	126
1968	166	173	158	137	156	172	275	280	259	126	141	151	140	141	142	137
1969	170	178	164	139	159	174	285	288	271	131	151	162	156	151	154	149
1970	175	181	170	153	161	179	297	300	286	138	164	181	171	165	170	168
1971	186	189	183	179	164	192	312	315	302	149	185	210	211	188	195	191
1972	199	206	192	187	174	206	338	342	325	161	205	249	246	210	221	210
Quarterly:																
1969 1	169	176	162	140	159	173	281	286	264	129	149	162	142	149	151	144
2	170	178	163	138	159	174	282	286	267	130	152	160	178	151	153	148
3	170	180	164	136	159	174	286	289	273	131	153	162	175	152	154	151
4	171	179	166	141	160	175	290	292	281	133	153	171	155	154	157	154
1970 1	173	178	170	148	160	178	295	298	285	137	161	180	161	162	166	160
2	174	180	170	151	160	179	297	299	286	138	164	180	186	164	169	166
3	175	183	170	151	160	179	298	302	285	138	165	180	177	166	171	170
4	176	182	170	164	162	181	299	302	290	139	167	187	175	169	175	176
1971 1	180	184	172	176	163	186	307	310	297	142	178	200	198	179	184	179
2	184	187	181	178	164	190	309	312	299	149	183	209	225	185	193	188
3	189	192	189	180	165	195	315	317	304	151	188	210	233	190	199	194
4	192	193	192	183	167	198	318	321	307	153	192	219	211	196	205	201
1972 1	192	195	186	187	169	199	327	330	317	154	193	234	214	197	207	200
2	198	205	191	188	172	205	335	338	322	160	207	249	249	214	225	211
3	202	210	194	185	175	209	341	345	326	164	209	250	255	215	227	214
4	205	215	197	188	178	211	351	356	336	165	210	259	253	215	227	216

Source: Central Statistical Office Bulletin of Statistics.

Table O Money and Credit

Mk. million, end of period

	Central Bank						Commercial and Savings Banks[3]								Money Supply IMF definition[4]	
	Dis-count rate per cent	Net foreign assets	Net claims on Treasury	Claims on Finnish credit institutions		Net claims on the rest of the eco-nomy	Lending[1]			Net foreign assets (IMF def.)	Bank deposits					
								of which:			Sight deposits		Time deposits			
				Total net	of which: Redis-counted bills[2]		Total	Com-mercial banks	Savings banks		Total	of which: Comm. banks	Total	of which: Comm. banks	Orig.	Adj.
	129	130	131	132	133	134	135	136	137	138	139	140	141	142	143	144
1965	7.00	843.4	–2.2	621.0	640.6	116.1	10 844	4 597	2 609	–214	844	677	9 199	3 183	2 074	..
1966	7.00	475.2	–30.0	884.1	915.2	193.2	12 106	5 205	2 951	–284	849	640	10 437	3 661	2 181	..
1967	7.00	370.5	–10.9	678.3	867.5	523.8	13 123	5 559	3 248	–444	834	662	11 538	4 103	2 146	..
1968	7.00	1 381.5	–357.3	545.5	617.7	338.2	13 895	5 866	3 448	–473	1 088	856	12 740	4 598	2 642	..
1969	7.00	1 333.0	–199.8	532.1	550.3	435.5	15 947	6 892	3 803	–222	1 374	1 057	14 229	5 236	3 126	..
1970	7.00	1 858.9	–120.4	834.2	835.8	–144.7	18 505	7 964	4 343	–374	1 508	1 143	16 266	6 099	3 445	..
1971	8.50	2 449	–17	838	849	–553	21 412	9 234	4 796	–223	1 733	1 343	18 418	6 961	4 025	..
Quarterly:																
1969 1	7.00	1 525.1	–366.5	464.6	439.8	311.2	14 181	5 987	3 491	–457	1 163	946	13 018	4 653	2 537	..
2	7.00	1 294.3	–286.8	685.2	699.6	317.9	14 733	6 300	3 561	–316	1 172	939	13 189	4 782	2 716	..
3	7.00	1 152.7	–264.1	704.4	684.6	338.0	15 288	6 551	3 689	–197	1 213	958	13 454	4 869	2 723	..
4	7.00	1 333.0	–199.8	532.1	550.3	435.5	15 947	6 892	3 803	–222	1 374	1 057	14 229	5 236	3 126	..
1970 1	7.00	1 579.8	–187.3	595.5	589.0	–90.6	16 409	7 100	3 883	–350	1 371	1 098	14 766	5 417	3 018	..
2	7.00	1 664.3	–163.8	590.0	597.0	–230.7	17 037	7 433	4 022	–530	1 377	1 110	15 028	5 592	3 091	..
3	7.00	1 730.4	–149.5	714.5	695.0	–241.8	17 668	7 683	4 185	–626	1 410	1 095	15 377	5 692	3 092	..
4	7.00	1 858.9	–120.4	834.2	835.8	–144.7	18 505	7 963	4 343	–374	1 506	1 143	16 271	6 099	3 445	..
1971 1	7.00	2 175	–129	774	786	–434	19 155	8 248	4 445	–307	1 466	1 153	16 695	6 189	3 218	..
2	8.50	2 079	–130	850	878	–387	19 782	8 452	4 544	–399	1 584	1 244	16 730	6 244	3 423	..
3	8.50	2 119	–96	882	867	–530	20 552	8 812	4 656	–233	1 553	1 196	17 138	6 362	3 415	..
4	8.50	2 449	–17	838	849	–553	21 412	9 234	4 796	–223	1 733	1 344	18 418	6 961	4 025	..
1972 1	7.75	2 799	–33	734	787	–779	21 940	9 417	4 912	–247	1 768	1 421	18 896	7 053	3 950	..
2	7.75	2 785	–39	701	861	–768	22 933	9 887	5 052	–248	1 927	1 543	19 293	7 237	4 275	..
3	7.75	3 108	–50	289	662	–666	23 793	10 039	5 253	–241	2 009	1 569	20 009	7 492	4 408	..

1 New series in 1971.
2 Discounted bills from 1970 (including an insignificant amount of rediscounted bills).
3 Including co-operative credit societies and mortgage banks.
4 Currency outside banks and sight deposits.

Sources: Bank of Finland Monthly Bulletin and IMF International Financial Statistics.

				Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland
POPULATION		Mid-1971	Thousands	12 728	7 456	9 673 [3]	21 595	4 968	4 628 [1]	51 250	61 284	8 769 [6]	2.06	2 971
Net average annual increase		1961 to 1971	%	1.93	0.53	0.52	1.69	0.75	0.35	1.05	0.87	0.43	1.42	0.53
EMPLOYMENT	Total civilian	1971	Thousands	5 425	3 176	3 788	8 079	2 338	2 139	20 518	26 673	3 275	79 [13]	1 063
	Agriculture		% of total	8.0	17.3	4.4	7.5	10.9	21.2	13.4	8.4	37.3	18.8 [13]	26.5
	Industry [7]			38.8	41.9	44.2	31.0	37.2	35.2	38.6	50.1	24.6	36.8 [13]	30.9
	Other			53.2	40.8	51.4	61.5	51.9	43.6	48.0	41.5	38.1	44.4 [13]	42.6
PRODUCTION	GNP per head	1971	$ [8]	3 080	2 210	3 010	4 240	3 500	2 430	3 180	3 550	1 220	2 350 [13]	1 550
GDP by sector:	Agriculture	1971	% of total	7.2 [2 4 15]	6.0 [11]	3.9	4.4	7.5	13.7	6.0 [11 13]	2.8 [11]	19.5	..	16.4
	Industry			38.1 [2 4 15]	49.0 [11]	43.8	37.0	38.7	42.3	48.4 [11 13]	53.5 [11]	30.5	..	35.6
	Other			54.7 [2 4 15]	45.0 [11]	52.3	58.6	53.8	44.0	45.6 [11 13]	43.7 [11]	50.0	..	48.0
GNP [33] annual volume growth		1970	%	4.3 [4 15]	7.1	6.1	3.2 [4]	3.1	7.9	6.0	5.4	8.0	6.7	1.5
		1965 to 1970		5.8 [4 15]	5.1	4.6	4.6 [4]	4.4	5.0	5.8	4.6	7.0	1.8	4.0
INDICATORS OF LIVING STANDARDS	Private consumption per head	1971	$	1 780	1 240	1 810	2 450	2 080	1 280	1 870	1 910	730 [13]	1 860	1 040
	Expenditure on education	1969	% of GNP	4.00 [9]	4.80	4.97 [18]	8.90	6.00	6.50	4.50	3.60	2.00	4.60 [18]	4.70 [18]
	Dwellings completed, per 1 000 inhabitants	1970	Number	11.2	6.1	4.7 [22]	8.2	10.2	10.6	9.1	8.1	12.9	6.5	4.4
	Passenger cars, per 1 000 inhabitants			306	162	211	312	219	137	245	237	22	200	122
	Television sets, per 1 000 inhabitants			227	192	216	294 [2]	266	221	201 [2]	272	10 [2]	181	172
	Telephones, per 1 000 inhabitants			312	193	211	452	339	249	172	225	120	347	104
	Doctors, per 1 000 inhabitants	1969		1.18 [19]	1.85	1.54	1.39	1.46 [18]	1.04	1.23	1.54	1.49	1.34 [18]	1.09
GROSS FIXED INVESTMENT [23]	Total	1966-70 average	% of GNP	17.4 [4 15]	27.8	21.2	23.5 [24]	23.2	24.6	25.8	25.4	27.2	29.0	21.6
	Machinery and equipment			8.9	12.0	9.1	9.5	11.8	8.8	11.4	11.4	11.0	8.0	10.5
	Residential construction			4.8	15.8 [28]	5.1	3.6	4.4	5.6	6.6	5.5	6.7	6.0	3.9
	Other construction			3.7	— [28]	7.0	10.4	7.0	10.2	7.9	8.5 [29]	9.9	15.0	7.3
GROSS SAVING		1966-70 average	% of GNP	26.3	28.3	23.5	24.7	18.9	28.5	26.5	26.9	21.0 [49]	..	19.8 [49]
PUBLIC SECTOR [30]	Total current revenue	1971	% of GNP	28.9	35.9 [13]	35.2	36.3	37.5 [2]	38.0	37.2 [13]	38.4	27.2 [2]	33.8 [18]	33.6
WAGES/PRICES	Hourly earnings [32]	Annual increase 1965 to 70	%	5.3 [34]	8.2 [38]	8.2	7.3 [34]	10.9 [35]	8.4	9.2 [36]	7.4 [34]	9.5 [34]	13.5 [37]	10.8 [34]
	Consumer prices			3.1	3.2	3.5	3.9	6.4	4.7	4.3	2.7	2.5	12.9	5.3
	GNP deflator			3.6	3.3	3.4	4.1	6.3	5.6	4.8	3.4	2.6	12.4	5.8
FOREIGN TRADE	Imports [46]	1970	$ million [8]	5 678 [15]	4 350	11 680	15 800 [18]	5 000	3 130	24 580	40 270	1 930 [2]	230	1 730
			% of GNP	15.8	30.3	45.1	25.3	32.1	30.6	16.6	21.5	23.0	48.3	44.5
	Exports [46]		$ million [8]	5 631 [15]	4 390	12 470	15 490 [18]	4 540	2 900	25 140	43 270	1 090 [2]	240	1 530
			% of GNP	15.6	30.5	48.2	24.8	29.1	28.3	17.0	23.1	12.9	50.0	39.3
BALANCE OF PAYMENTS	Current balance	1966-70 average	% of GNP	–3.3 [18]	–0.5	1.7 [31]	–0.3	–2.6	–1.2	–0.4	1.0	–3.6	–5.7	–2.9
Official reserves [47], end-1971: per cent of imports of goods in 1971			%	70.7	56.4	27.4 [21]	36.9	15.9	25.6	38.8	53.5	25.0	33.4	54.2
	Change	Jan. 1972 - Jan. 1973	$ million	2 695	326	514 [21]	168	13	–116	1 618	4 190	498	9	41
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES [50]		1971	% of GNP	1.00	0.56	1.03	0.82	0.80	— [51]	1.02	0.88	— [52]	— [51]	— [51]
EXPORT PERFORMANCE [53]	Growth of markets [54]	1970 to 1971	%	8.3	10.7	12.2	16.5	10.9	10.1	10.6	11.4	11.1	..	14.6
		1960-61 to 1970-71 (average)		..	11.5	11.5	13.5	10.3	10.6	9.6	10.8	11.5	..	8.5
	Gains or losses of market shares [55]	1970 to 1971	%	1.2	–0.8	–6.1 [21]	–5.7	–1.0	–7.9	3.8	2.8	–8.0	..	11.9
		1960-61 to 1970-71 (average)		..	–1.5	0.5 [21]	–2.0	–1.6	–2.0	1.0	1.0	0.3	..	1.2

				Italy	Japan	Luxembourg	Netherlands	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia
POPULATION		Mid-1971	Thousands	53 899	104 650	342	13 194	3 905	8 870	34 003	8 105	6 324	36 160	55 668	207 049	20 550
Net average annual increase		1961 to 1971	%	0.65	1.07	0.76	1.26	0.77	–0.07	1.06	0.75	1.41	2.51	0.50	1.21	1.00
EMPLOYMENT	Total civilian	1971	Thousands	18 700	51 140	148	4 604	1 497 [13]	3 033	12 442	3 860	3 005 [13]	(13 639) [13]	24 329	79 120	7 651 [5]
	Agriculture		% of total	19.5	15.9	10.2	6.9	13.9 [13]	31.1	28.6	7.8	7.6 [13]	(71.5) [13]	2.7	4.3	50.4
	Industry [7]			44.1	36.0	47.3	38.0	37.3 [13]	36.3	37.5	37.6	48.3 [13]	(11.8) [13]	45.7	(31.0)	49.6
	Other			36.4	48.1	42.5	55.1	48.8 [13]	32.6	33.9	54.6	44.1 [13]	(16.7) [13]	51.6	(64.7)	
PRODUCTION	GNP per head	1971	$ [8]	1 880	2 150	3 050	2 820	3 310	770	1 070	4 400	3 880	360	2 460	5 160	561 [2]
GDP by sector:	Agriculture	1971	% of total	11.5	6.5 [11 13]	4.1 [13]	6.2 [13]	5.3	16.2	13.5	4.4 [13]	6.4 [10]	30.2 [13]	2.9 [14]	2.9 [11]	19.3 [13]
	Industry			40.5	44.4 [11 13]	56.9 [13]	42.0 [13]	37.8	44.3	34.4	39.3 [11]	49.6 [10]	25.7 [13]	43.5 [14]	33.1 [11]	41.1 [13]
	Other			48.0	49.1 [11 13]	39.1 [13]	51.8 [13]	56.9	39.5	52.1	56.2 [11]	44.0 [10]	44.1 [13]	53.6 [14]	63.9 [11]	39.6 [13]
GNP [33] annual volume growth		1970	%	5.1	10.5	3.5	5.6	3.7	7.5	5.9	4.6 [4]	4.4	5.5	2.0 [4]	–0.6	..
		1965 to 1970		6.0	12.1	3.6	5.2	4.6	6.0	6.5	3.9 [4]	3.8	7.0	2.4 [4]	3.2	..
INDICATORS OF LIVING STANDARDS	Private consumption per head	1971	$	1 200	1 120	1 790	1 600	1 770	580	720	2 390	2 230	230 [13]	1 510	3 230	275 [18]
	Expenditure on education	1969	% of GNP	4.30	4.00	5.00	6.50 [18]	6.30	1.44 [9]	2.20	7.91 [18]	4.10	3.40 [18]	4.97	6.30	4.59 [9]
	Dwellings completed, per 1 000 inhabitants	1970	Number	6.6	14.4	5.3	9.1	9.4	4.7	9.3	13.7	10.5	4.8	6.5	7.0	6.2
	Passenger cars, per 1 000 inhabitants			187	85	267	194	193	47	71	279	221	4	213	432	35
	Television sets, per 1 000 inhabitants			181	215	208	223 [2]	220	38	174	312	203	1.3 [2]	293	412	88
	Telephones, per 1 000 inhabitants			171	251	328	260	294	78	135	537	482	16	267	587	36
	Doctors, per 1 000 inhabitants	1969		1.79	1.12	1.06	1.25	1.39	0.84	1.33	1.24	1.61	0.44	1.18 [9]	1.65	1.10
GROSS FIXED INVESTMENT [23]	Total	1966-70 average	% of GNP	8.61	36.6	24.1	27.4	28.9	18.6	24.8	24.0	27.2	25.6	18.6	16.6 [26]	..
	Machinery and equipment			7.9	30.1 [27]	7.0	12.9	14.7	7.6	13.0	8.2	9.5	..	9.2	7.1 [26]	..
	Residential construction			6.2	6.5	4.9	5.3	4.8	3.4	4.2	6.1	6.9	5.3	3.5	3.3	..
	Other construction			5.6	— [27]	12.2	9.2	9.4	7.6	7.7	9.7	10.8	..	5.9	6.1	..
GROSS SAVING		1966-70 average	% of GNP	23.4	38.7	28.1 [25]	26.8	28.5	..	22.7	23.1	28.4 [49]	18.6 [49]	18.5	17.9	..
PUBLIC SECTOR [30]	Total current revenue	1971	% of GNP	33.5	21.9 [13]	34.8 [18]	44.1 [13]	47.8	..	22.6	49.1 [31]	26.5 [2]	19.5 [2]	39.7 [13]	30.3	32.6 [18]
WAGES/PRICES	Hourly earnings [32]	Annual increase 1965 to 70	%	8.2 [38]	14.7 [39]	..	8.9 [40]	8.8 [41]	9.7 [33]	12.8 [42]	8.9 [43]	5.2 [36]	..	6.7 [45]	5.3 [34]	..
	Consumer prices			2.9	5.5	3.0	4.9	4.9	6.4	5.1	4.4	3.5	8.1	4.6	4.2	10.6
	GNP deflator			3.4	4.7	4.9	4.8	5.0	4.8	5.1	4.3	4.0	5.5	4.6	4.0	..
FOREIGN TRADE	Imports [46]	1970	$ million [8]	18 170	20 920	810	16 700	5 000	1 910	5 500	6 080 [18]	6 280 [2]	1 120	28 250	59 310	1 991 [9]
			% of GNP	19.6	10.6	81.1	53.4	43.9	30.6	17.1	23.8	33.4	8.9	23.3	6.0	21.0 [9]
	Exports [46]		$ million [8]	18 790	23 110	880	16 310	4 830	1 540	4 940	5 920 [18]	7 120 [2]	940	30 520	62 900	1 875 [9]
			% of GNP	20.2	11.7	88.0	52.2	42.4	24.6	15.3	23.1	37.8	7.5	25.2	6.4	19.7 [9]
BALANCE OF PAYMENTS	Current balance	1966-70 average	% of GNP	2.5	0.9	—	–0.6	–0.5	2.5	–1.2	–0.6	1.6	–1.5	0.2	0.1	..
Official reserves [47], end-1971: per cent of imports of goods in 1971			%	42.5	77.9	—	25.0	28.2	109.8	65.8	15.7	81.7	70.9	27.5	28.9	6.1
	Change	Jan. 1972 - Jan. 1973	$ million	–995	1 899	—	910	129	367 [48]	1 781	431	104	625	–1321	–906	448
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES [50]		1971	% of GNP	0.85	0.96	— [51]	1.63	0.51	1.56	— [52]	0.69	[0.93]	— [51]	1.14	0.67	— [52]
EXPORT PERFORMANCE [53]	Growth of markets [54]	1970 to 1971	%	12.4	13.8	—	11.9	10.8	7.2	11.9	10.6	10.9	11.6	11.5	11.5	..
		1960-61 to 1970-71 (average)		10.9	10.1	—	11.1	10.2	10.6	10.6	10.5	11.1	10.8	9.8	9.8	..
	Gains or losses of market shares [55]	1970 to 1971	%	2.3	10.5	—	7.2	–6.3	2.0	11.2	–0.9	1.3	3.3	3.0	–8.7	..
		1960-61 to 1970-71 (average)		2.8	7.9	—	0.8	0.5	1.1	3.4	–0.1	–0.3	–4.2	–2.9	–2.1	..

[4] 9 4 73

1 Does not include total net migration between Finland and the other Nordic countries.
2 1969.
3 Adjusted data on the census taken on 31.12.1970.
4 GDP in purchasers' values.
5 Private and socialised sector.
6 Census results on 14.3.1971.
7 According to the definition used in OECD Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
8 At current prices and exchange rates.
9 1967.
10 The estimates for GDP by sector for Switzerland have been published in "La Vie économique", November 1969.
11 GDP at market prices.
12 Net domestic product.
13 1970.
14 Including stock appreciation.
15 Fiscal year-Beginning July 1st.
16 1962-1967.
17 1965.
18 1968.
19 1966.
20 1964.
21 Including Luxembourg.
22 Dwellings started.
23 At constant (1963) prices.
24 Excluding transfer costs of land and existing assets.
25 1964-1968.
26 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
27 "Other construction" included under "machinery and equipment". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
28 "Other construction" included in "residential construction".
29 Including transfer costs of land.
30 General government.
31 Including depreciation.
32 Industry.
33 Monthly.
34 Manufacturing.
35 Including bonuses.
36 Hourly rates in manufacturing.
37 Hourly wages rates, unskilled workers.
38 Hourly rates in manufacturing, excluding family allowances.
39 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
40 Hourly rates in industry, males.
41 Males.
42 Manufacturing, including salaried employees.
43 Mining and manufacturing, males.
44 Hourly rates.
45 Hourly rates in manufacturing, males.
46 Goods and services, including factor income.
47 Including reserve position in the IMF and special drawing rights.
48 December 1971 - December 1972.
49 1965-1969.
50 According to the DAC definition. Including flows to multilateral agencies and grants by voluntary agencies.
51 Not Development Assistance Committee member.
52 Considered as a developing country for purposes of DAC reporting.
53 Values, percentage change. Figures are subject to many limiting factors. For an explanation see OECD Economic Outlook, simple definition, December 1970, pp. 65 and 69.
54 The growth which would have occurred in a country's exports if it had exactly maintained its share in total OECD exports to each of 19 broad geographical zones.
55 The difference between the growth rates of markets and exports.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Balance of Payments, Observer, DAC and Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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